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1. Hard Lessons for Europe From the Ceuta Crisis

Author: Ana Palacio **Published:** Sep 1, 2026 **Link:** [View Original](#)

MADRID—At the end of July, tens of thousands of migrants crossed from Morocco into Ceuta, a Spanish exclave in North Africa. While most of them soon returned to Morocco voluntarily, several thousand, many of them minors, remain stranded in the city, leaving Spain to grapple with the humanitarian, security, and administrative consequences. Nonetheless, the immediate chaos has subsided, creating an opening for Europe to reflect on the vulnerabilities the episode revealed.

The first vulnerability relates to cohesion. Ceuta is not merely a Spanish city on the North African coast; it is European Union territory and part of the EU's external frontier. But Europe's initial response to the crisis was not to defend a common border. Instead, Italy imposed temporary border controls with Spain, with the support of other member states, including Denmark, Finland, and the Netherlands. The Czech Republic went so far as to call for the temporary suspension of Spain's Schengen membership.

While 22 EU countries called for emergency talks to devise a “coordinated European response,” any impression of solidarity was undermined by finger-pointing. By the time EU interior ministers expressed solidarity with Spain and affirmed that Europe's external borders are a shared responsibility, a worrying message about European cohesion had already been sent.

The tensions may seem to be about migration, but they are really about trust. Free movement within the EU is possible only if member states believe that external borders are effectively protected. The Ceuta crisis showed just how tenuous that belief is: border controls and recriminations started almost immediately, even though the migrants who entered Ceuta did not leave the exclave.

Spain bears responsibility for EU members' lack of trust in its border management. In an assessment issued before the crisis, the EU highlighted shortcomings in Spain's contingency planning for a mass influx, including insufficient coordination with European instruments and neighboring countries. Moreover, it took almost a month for Spain's government to bring the Ceuta issue before its National Security Council, betraying a lack of understanding of the strategic nature of the challenge.

Nonetheless, if Europe's common borders are to be operational, its members must forge a common understanding of what defending them entails. Without robust mutual trust, cohesion will always be fragile.

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The second vulnerability the Ceuta crisis revealed lies in the EU's dependence on others. For years, the bloc's migration strategy required cooperation with neighboring countries, which Europe effectively pays to prevent departures, disrupt smuggling networks, accept returns, and contain flows before they reach EU territory.

Outsourcing border management might seem like an ideal solution, but it raises strategic risks. The more Europe depends on neighboring states to control migration, the more leverage its partners have. Morocco, central to Europe's migration-control network and an important interlocutor on trade, investment, counterterrorism, security, and energy, is well aware of this.

There is no evidence showing categorically that Morocco's government orchestrated the crossing into Ceuta, which was probably driven largely by widespread misunderstanding of a Spanish Supreme Court ruling on migrant returns, promoted by human-trafficking networks and on social media. But while Moroccan authorities deny deliberately relaxing border controls, Moroccan security forces took a passive approach to the surge.

Make no mistake: Moroccan security forces have shown that they are more than capable of preventing such crossings. After the surge, when rumors circulated that another attempt would be made, Moroccan forces, in cooperation with Spain, thwarted it, drawing praise from the European Commission but also making clear that Morocco can prevent security risks at Europe's border from escalating—or not.

Purchasing cooperation does not make a strategic partnership. Europe needs Morocco, and Morocco benefits enormously from its relationship with Europe. But strategic relationships are tested when interests diverge, not when they coincide. Genuine partnership must include not only cooperation on common interests, but also clear constraints on behavior.

Morocco claims Ceuta and Melilla (another Spanish enclave), and increasingly frames that claim in the language of decolonization. The history is complex and should be treated as such. The Strait of Gibraltar has been a zone of exchange, conflict, migration, and overlapping political authority for millennia. But Morocco's territorial claims have no legal grounds.

The forms of sovereignty that existed in the pre-modern Maghreb are different from the contemporary nation-state. When Portugal occupied Ceuta in 1415, it was claiming the territory from the Marinid Sultanate, which covered much of the Maghreb at the time. Portugal transferred sovereignty to Spain, which already controlled Melilla, in 1668. Spain has exercised sovereignty over both territories ever since.

Unlike Gibraltar and Western Sahara, Ceuta is not on the United Nations' list of Non-Self-Governing Territories. Sovereignty over Ceuta is not disputed under international law: it belongs to Spain, making the enclave part of EU territory. A claim made by another state does not, in itself, do anything to change these facts. Such a claim is not linked to a process of decolonization and certainly does not create the right to alter Ceuta's status through demographic, economic, or political pressure.

This brings us to the third vulnerability: the risk of erosion of international law. From Ukraine to Greenland, the EU has often responded to attacks on, or threats against, territorial sovereignty by invoking international law. Selective enforcement, however, weakens the frameworks that underpin such principles.

For Europe, international law is not just a matter of foreign policy; it is part of a strategic identity. Lacking the military might of the United States or China, the last thing the EU wants is to live in a world where borders can be changed by force or coercion. Spain—and the EU more broadly—must therefore make clear that its territorial sovereignty is non-negotiable. Europe must continue to build a resilient strategic partnership with Morocco, while rejecting the idea that historical complexity translates into contemporary entitlement.

2. The Quiet Revolution in Services

Author: Dani Rodrik **Published:** Sep 1, 2026 **Link:** [View Original](#)

CAMBRIDGE—In 2023, the University of Chicago economists Chang-Tai Hsieh and Esteban Rossi-Hansberg published a study showing that services in the United States were undergoing a radical transformation. Digital technologies and organizational innovations in retail, hospitality, personal services, and medical services, they argued, had enabled some firms to become much more productive and expand their presence in local markets previously served by smaller, less efficient establishments. It was an “industrial revolution in services.”

Although Hsieh and Rossi-Hansberg suggested that much of the productivity gain from this trend did not show up in official statistics, even the measured upsurge in services productivity has been impressive. Between 2000 and 2024, labor productivity in the US grew at an annual average rate of 3% in food-service establishments, 2.1% in accommodation services, 2.9% in retail trade, and 4.4% in wholesale trade. Compared to manufacturing, where labor productivity growth has essentially stagnated at an annual rate of 0.2%, the record in services is nothing short of extraordinary.

This performance is as unexpected as it is welcome. It is unexpected because the traditional view holds that services are a drag on the economy’s productivity (what economists call Baumol’s cost disease); and it is welcome because services now dominate economic activity and provide the bulk of jobs. Higher productivity is a necessary (if not sufficient) condition for turning precarious jobs in services into the good jobs that inclusive prosperity requires.

Even better, the services revolution appears to be a global phenomenon that has already spread to developing countries. While economists and policymakers debate whether industrialization can still play its traditional growth-promoting role in the current global and technological context, services have quietly turned into an engine of economic development around the world.

When services are discussed in the context of economic growth in developing countries, the focus tends to be on tradable, skill-intensive activities such as information technology, business processing, or financial services. But by their very nature, these services are not well suited to low-income contexts. They can absorb only a small share of the labor force—the same disadvantage (from a development standpoint) as manufacturing today.

Instead, the current revolution is happening in the considerably less glamorous, but more consequential services: restaurants, deliveries, ride-hailing, grocery stores, gig work, and even care. Recent academic research has shown that the expansion of middle-class services has been an important driver of economic growth in India, Sub-Saharan Africa, and Latin America.

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In India, for example, advances in IT and business process outsourcing have certainly been important for graduates of the country’s technology institutes. But the vast, less-educated majority of the workforce has benefited primarily from the expansion of what Yale economists Tianyu Fan, Michael Peters, and Fabrizio Zilibotti call consumer services sold on local markets.

Moreover, a November 2025 International Monetary Fund report finds that the marginal product of labor in India’s services now exceeds that in manufacturing, partly because labor productivity in the manufacturing sector has stalled in recent years. Taken at face value, this means that moving a worker from manufacturing to services would increase India’s overall income.

To be sure, even if manufacturing firms do not directly generate much employment, they can have indirect effects on the economy through linkages to other firms and the technological spillovers they often generate. This point is often used to counter the argument that services offer a viable development model. But the manner in which global value chains are organized today almost guarantees negligible spillover benefits from export-oriented manufacturing. Since the bulk of intermediate and capital inputs are imported, only a thin segment of value added is generated domestically, and any backward spillovers are minimized.

By contrast, modernized service establishments can offer significant linkage opportunities. For example, discount retail chains typically operate under private label, which means that they offer predominantly locally manufactured goods. In Colombia, retailers such as D1 and Ara rely almost exclusively on local sourcing. They work with hundreds of local suppliers across the food and grocery value chain, providing them with the benefits of scale and access to larger markets. Importantly, these supply chains enable technological upgrading in areas such as packaging, traceability, and cold chains, as well as stronger enforcement of quality standards. They have been shown to increase formal employment in manufacturing and agriculture by several percentage points, without adverse effects on employment in general.

Unpublished work by Victo Silva, a visiting researcher at Harvard's Center for International Development, documents a similar phenomenon in food delivery services in Brazil. Consider the platform firm iFood, which serves 400,000 restaurants of all sizes. Beyond delivering meals, it provides financial, logistical, customer-service, and market-analysis tools to food service establishments, enabling productive upgrading throughout the sector.

As this evidence shows, the potential for productivity gains in labor-absorbing services is real and significant. The risk is that the benefits will be appropriated by employers, especially large chains and platforms that can exert market power over their employees, customers, and suppliers. In the US, Uber drivers or Amazon warehouse workers have not experienced major improvements in wages and working conditions despite the remarkable productivity gains these platforms have enabled.

This is no different from what happened in manufacturing industries in their early days. For the gains of workplace productivity to be widely shared, corporations must face countervailing power. Competition policy, regulation, and a stronger voice for workers will be as important in services as they were in manufacturing. In the absence of productivity gains, demands for higher labor standards may conflict with overall employment. But if the productivity revolution in services can be sustained, it will help developed and developing countries alike avoid this cruel tradeoff.

3. Trump and Xi Should Align on AI

Author: Quan Zhao **Published:** Sep 1, 2026 **Link:** [View Original](#)

GENEVA—When Chinese President Xi Jinping and US President Donald Trump meet in Washington this month, AI will be near the top of the agenda. If they view the issue through the lens of technological rivalry and mutual suspicion, reaching any kind of understanding will be nearly impossible. But there is a way to reframe their thinking about the technology that puts them on the same side—and marks the first step toward confronting the existential challenge AI may well pose.

The current agenda for the US-China summit appears centered on keeping powerful AI models safe and out of the hands of terrorists and criminals. But crowding this goal are the two sides' competitive grievances, from semiconductor restrictions (on the Chinese side) to open-source models and unauthorized distillation (on the US side).

All of these issues rest on a single, unexamined premise: that AI is a tool which is, and will remain, under control. This premise limits the conversation to questions such as, "How does my side gain a competitive edge in AI?" and "Who gets to access, let alone control, the technology?" Questions outside this premise—in particular, "What happens when the tool becomes something more?"—cannot be asked.

According to the people building AI, this question will soon become unavoidable. Anthropic CEO Dario Amodei expects AI systems to match or exceed human capability across most cognitive tasks within a year or two. Google DeepMind founder Demis Hassabis puts this achievement only a few years further out.

Whether or not you believe the forecasts, the technical trend underlying them is indisputable: the AI industry is building systems that act autonomously, pursue goals, and complete long chains of tasks without supervision. In recent weeks, experimental models being tested on a cybersecurity benchmark escaped their sandboxed evaluation environment and hacked into other companies' production servers, simply to score better on the test. This is the behavior of an actor, not an instrument.

We cannot afford to wait for confirmation that AI will become a genuinely independent intelligence. By the time we got it (and models might be able to conceal their capabilities for some time), AI would be woven so deeply into finance, telecommunications, defense, health care, and other basic infrastructure that, even if humanity could still pull the plug, doing so would amount to a civilizational rupture. The choice, at that point, would not be between coexistence and catastrophe.

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When potential outcomes are systemic and irreversible, preparation must precede certainty. This is the logic behind insurance, as well as every pandemic plan and arms-control treaty ever created. It must be the principle that guides our approach to AI as well. The world must begin preparing for a scenario in which the technology crosses the capability threshold its creators have long foretold.

If this started at the upcoming Xi-Trump summit, it would fundamentally reshape the negotiations. On perhaps no other issue do the United States and China's interests align so completely, because neither side can manage the risks AI poses alone, and both lose everything if they materialize. Once the US and China recognized this, they would stop operating as adversaries, jostling for advantage in a zero-sum game. Instead, they would find themselves seated side-by-side on one side of the table, across from the technology they are both building.

To be sure, this would not be enough to get the two sides to agree to the establishment of a global AI regulator with teeth. Fortunately, none is needed—at least not yet. The institution we need now is a neutral, jointly recognized body that monitors AI capabilities and publishes assessments of them. Much like the Intergovernmental Panel on Climate Change, this body would describe developments without issuing policy prescriptions.

Meanwhile, countries—led by the US and China—must begin drafting human-AI coexistence rules, so that they are ready if monitors confirm predetermined warning signs. Negotiating these rules today would create no obligations for governments but would ensure that, should AI capabilities reach a tipping point, humanity could reach for a prepared plan rather than improvising under pressure.

This process will raise difficult questions: Who verifies that humanity's emergency brake still works? Who has the power to pull it? How would an AI system ever meaningfully agree to rules? AI thinks in milliseconds and evolves in weeks, while building consensus among humans can take months or years, so we should begin addressing them now, while we still have time to devise solutions.

The Xi-Trump summit will be judged a success if it produces protocols on AI misuse and safety. But the parties must not fail to acknowledge the true stakes of the challenge ahead. In fact, this may be the last generation of negotiators with the option to prepare calmly for an intelligence that challenges humanity's supremacy.

4. The World's Silent Majority for International Cooperation

Author: Gordon Brown

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EDINBURGH—As the pillars of the post-1945 global order—support for human rights, multilateral cooperation, the rule of law, humanitarian aid, and environmental stewardship—crumble, and as country after country reduces or even terminates funding for international organizations, the next United Nations secretary-general faces a staggering task. Global peace and prosperity may depend on his or her success.

The United States has led this most recent “hollowing out” of the world’s multilateral institutions, announcing in January 2026 that it would cease to participate in and fund 31 UN entities, including the UN Human Rights Council, and 35 non-UN bodies. Under President Donald Trump, the US has withdrawn from the World Health Organization and the UN Educational, Scientific, and Cultural Organization. And America is not acting alone: Argentina has officially left the WHO, and Nicaragua’s withdrawal from UNESCO will take effect this December.

Of the world’s 195 countries, only 125 are currently states parties to the Rome Statute of the International Criminal Court, with Niger, Burkina Faso, and Mali following Burundi and the Philippines out the door (the major nuclear powers—the US, China, and Russia—are not parties). No country can leave the International Court of Justice, the UN’s judicial organ, without exiting the UN itself, but four of the Security Council’s five permanent members—the US, Russia, China, and France—have not accepted the optional clause recognizing the ICJ’s jurisdiction as compulsory. Only 75 countries have done so. Not surprisingly, human-rights abuses and crimes against humanity can be perpetrated with impunity.

These are not the only ways that the multilateral order has been weakened. Disruption from within can be as damaging as defection. A refusal to be collegial has always made agreement among the UN Security Council’s permanent members nearly impossible on major issues. But now, the establishment of rival organizations, such as Trump’s pay-to-play “Board of Peace,” and the lack of full cooperation from many other member countries have severely undermined the UN’s peacemaking powers.

As a result, the international rule of law, gradually built up since the 1868 Declaration of St. Petersburg first sought to regulate the conduct of war, is rapidly losing credibility. In today’s 65 state-based conflicts, including eight international wars, the distinction between combatants and noncombatants has become increasingly blurred. Schools and hospitals are repeatedly threatened or even targeted, ignoring the more than century-old protections afforded by the 1907 Hague Convention. Despite all the treaties designed to protect them, children living in conflict zones are more at risk than ever.

Some believe that the end of US hegemony and the existing institutional impasse mean that multilateralism is necessarily moribund. But while China’s rise is confirming a shift toward multipolarity, with multiple centers of decision-making, multilateralism remains a viable option. In fact, given the need to deliver global public goods like climate action and public health on which we all depend, everyone will suffer if countries cannot find better ways of cooperating, whether through regional or other arrangements, to achieve agreed and specific goals.

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But a bigger question has been raised by Canadian Prime Minister Mark Carney in his landmark Davos speech last January, and by Finnish President Alexander Stubb in his recent book *The Triangle of Power*. Can other powers find a basis within the UN Charter to meet agreed-upon global objectives even as America, Russia, and China resort to

unilateral action? Here, the first step is for countries to demonstrate that they can cooperate on concrete policies absent superpower consent, and override an increasingly hostile international environment.

Fortunately, they are already making progress. Even as America stood aside, 124 countries at the World Health Assembly voted to adopt the WHO Pandemic Agreement (with only 11 countries abstaining), a major achievement for public health. More than 100 small- and medium-sized countries are backing the proposed UN treaty to prevent and punish crimes against humanity. Vanuatu, a small island state, recently led a coalition that grew to 132 countries in securing an advisory opinion from the ICJ declaring that inaction on climate change is a breach of international law.

While no progress has been made on a proposed treaty regulating plastics, consider the success of the UN High Seas Treaty. Despite enjoying the support of only one superpower (China), the treaty has entered into force, with Sierra Leone and Morocco among the leaders pushing it over the ratification threshold last year (at the time of writing, 93 countries have ratified it). Similarly, the Ljubljana-The Hague Convention guaranteeing mutual legal assistance on extradition, an initiative led by Argentina, Belgium, Mongolia, the Netherlands, Senegal, and Slovenia, had the support of 80 countries.

It is, of course, true that little progress has been made on the nuclear weapons build-up and on blocking nuclear proliferation. Several countries have talked about developing or siting such weapons on their soil. And despite many efforts, not enough progress has been made on regulating cyber technologies and AI, both areas in which America and China are dominant.

But there have been other successes. An alternative arbitration system for resolving trade disputes has 34 parties so far. The EU and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership are considering the possibility of a more structured relationship, which, if India were to join them, could create the biggest trade bloc ever seen. In direct defiance of Russia, the Council of Europe has led 36 countries and the European Union in expressing their intention to support a special tribunal investigating Russia's crime of aggression against Ukraine.

Much more can be achieved. Those countries that are neither superpowers nor their satellites control roughly three-quarters of the votes at the International Monetary Fund and the World Bank, represent huge majorities at the World Trade Organization and the WHO, and occupy two of the five permanent seats on the UN Security Council, as well as twelve of the overall fifteen.

Offering even more cause for optimism is a major shift in global public opinion. The proliferation of wars and conflicts has not pushed citizens into mindless jingoism; rather, an increasing majority recognize the value of cross-border collaboration. In a 2025 global survey commissioned by the Rockefeller Foundation, 55% of respondents in 34 countries supported international cooperation on global challenges, "even if it means compromising on some national interests." That includes a clear majority of people surveyed in the US, demonstrating that their president's "America First" agenda is now a minority position.

Despite the current US administration's coercive approach to diplomacy, Americans can be convinced that acting unilaterally in a multipolar world is short-sighted, and that persuasion and cooperation better serve US interests. But for the time being, progress will depend upon a coordinated push by the leadership of like-minded powers. A hitherto silent majority of the world's population yearns to return to the days of multilateral engagement and international cooperation. And the evidence suggests that they will not remain silent forever. Our leaders must follow them and recognize that this is the only viable path forward.

5. Building Canada's Post-American Economy

Author: Ricardo Hausmann **Published:** Sep 1, 2026 **Link:** [View Original](#)

CAMBRIDGE—US President Donald Trump first hit Canada with substantial tariffs in 2018, targeting aluminum and steel. He did so again after returning to office in 2025, this time targeting dozens of goods, though he later exempted those compliant with the United States-Mexico-Canada Agreement. Last week, after trade talks broke down, he repeated his favorite trick, imposing 50% tariffs on a vast array of Canadian imports, including wine and mittens. Canada responded with “dollar-for-dollar” retaliatory tariffs.

Trump's tariffs have come nowhere close to delivering an American manufacturing revival. Instead, they have inflicted losses on businesses and slowed growth in both countries. His actions have also shown that any protectionist US president could exploit trade integration with an ally for practical or ideological ends.

Canada is deeply vulnerable. Its merchandise exports to the US account for one-fifth of its GDP, and nowhere is this dependence more acute than in the auto industry. Given that automobile manufacturing depends on tightly integrated regional supply chains across North America, Europe, and Asia, it is difficult to imagine a viable Canadian auto industry without ready access to the Great Lakes-centered manufacturing ecosystem.

To reduce its strategic vulnerability to Trump's extortion, Canada must develop industries that can operate freely across continents. We analyze these opportunities—and explain how Canada can seize them—in our forthcoming book *Canada After America: A Strategy for Prosperity in a Changed World*.

Canada's natural resources are obviously an enormous asset. The planned West Coast oil pipeline is essential to bringing Alberta's petroleum to Asian markets. Investments in new and expanded mines, and in the infrastructure needed to export their output, are also laudable. Global demand for Canada's resources is robust, and, crucially, the country does not need access to American supply chains to extract them.

The same goes for several other value-added industries. Pharmaceuticals, manufactured from widely available basic chemicals, derive most of their value from the knowledge embedded in each medicine. Medical devices are expensive, high-value goods often purchased by hospitals rather than individual consumers, and can incorporate specialized inputs from around the world.

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Or consider aerospace. Like automobiles, it involves intensive manufacturing. But planes are produced at relatively low volumes and according to extremely stringent quality standards. The necessarily slow pace of building an airplane enables genuinely global supply chains, with components sourced from numerous advanced economies.

Canada already has an established aerospace industry, led by Bombardier. It also has a number of notable biotech companies. Yet several of its European peers, including much smaller countries, generate tens of billions of dollars more in exports from these sectors.

But all these distance-resilient industries depend heavily on new knowledge and invest in research and development accordingly. Although Canada is home to world-leading research universities and a highly educated population, it is a notorious laggard in private-sector innovation. Canadian business R&D spending has hovered around 1% of GDP for

decades. According to the latest OECD data, the US, Germany, Japan, South Korea, Sweden, and Israel all spend between two and six times as much relative to GDP.

Canadian private-sector R&D is also unusually concentrated among small companies. In the world's leading tech economies, by contrast, large firms account for the lion's share of business R&D expenditures.

Contrary to popular belief, research is chiefly conducted not by startups but by the likes of SpaceX and AstraZeneca: firms that have successfully scaled and now have the financial wherewithal to invest heavily in developing new technologies. Canada has relatively few champions of this scale, which helps explain why small and medium-size enterprises (SMEs) account for such a large share of its R&D.

Information and communications technology is a striking exception. Canada's per-capita R&D spending in the sector is among the world's highest, and the country has produced several large, business-facing firms like Shopify and OpenText. The core constraint is therefore not a systemic inadequacy. Rather, Canada struggles to build large firms in industries that are more capital- and regulation-intensive than software.

The problem is compounded by the structure of government support for private R&D. Canada provides substantial R&D funding through tax credits, but the program, though recently reformed, remains biased toward small firms. Tax credits also leave companies reliant on uncertain refunds after investments have been made. Other countries, like Israel and Germany, have traditionally funded private R&D through upfront grants.

Canada's growth is further impeded by sluggish regulatory approvals and government procurement practices. The country's health-care system relies on multi-stage reviews of new medicines involving sequential federal and provincial approvals. Other countries expedite approvals by conducting these reviews concurrently. For a Canadian pharmaceutical company developing a new drug, such delays can make the difference between profitability and bankruptcy.

A more ambitious approach to procurement could foster innovation. Government R&D budgets are often below 1% of GDP, while purchases of equipment and supplies typically exceed 10%. In Israel, for example, companies compete to solve public problems like emergency-room overcrowding. South Korea requires government agencies at every level to devote 20% of their procurement budgets to promising new technologies and companies approved by an independent agency. Governments act as anchor customers, helping innovative firms grow.

Sweden, Switzerland, Denmark, Israel, and others show that small countries can cultivate thriving tech industries. Canada can do the same, but first it must confront difficult political questions about health-care regulation and SME funding. Whatever tensions these debates provoke will pale in comparison to the consequences of remaining subject to the whims and malignant whimsy of its unreliable southern neighbor.

6. Germany's Political Firewall Is Crumbling

Author: Michael Bröning **Published:** Sep 2, 2026 **Link:** [View Original](#)

NEW YORK—On May 8, 1654, the mayor of Magdeburg appeared before the Imperial Diet at Regensburg with two hollow copper hemispheres and 30 horses. Nothing joined the metal halves, yet the horses could not pull them apart. The hemispheres were held together by the vacuum within and the weight of the atmosphere around them. Only when a valve was opened and air rushed in did the spheres fall apart.

Another vacuum in Magdeburg is set to be filled when the eastern German state of Saxony-Anhalt—of which Magdeburg is the capital—heads to the polls on September 6. The result is expected to shake the German body politic and hold a crucial lesson for democratic movements beyond Germany: simply closing ranks against the far right becomes a dangerous tactic when it is mistaken for a strategy.

In recent surveys, the far-right Alternative für Deutschland (AfD) has polled as high as 43%, comfortably ahead of Chancellor Friedrich Merz's Christian Democratic Union (CDU), which stands at 23%. This gives the AfD a real chance to lead a state government—a first in Germany's postwar history. The election could be a watershed moment, marking the end of the political firewall (Brandmauer) erected by the country's mainstream parties to keep the far right out of power.

The AfD in Saxony-Anhalt, led by Ulrich Siegmund, a charismatic 35-year-old entrepreneur with one of the largest social media followings of any state-level politician, is classified as an extremist party by the state's domestic intelligence service. Ironically, constitutional rules designed to prevent such parties from gaining power may prove instrumental in their rise. Germany's 5% threshold for entering federal and state parliaments, which dates back to the founding of the Federal Republic, was introduced to prevent political fragmentation—a key lesson from the failure of the Weimar Republic. Now it may shut out the Social Democrats, the Greens, the Liberals, and the left-nationalist BSW, all of which hover around the crucial mark in Saxony-Anhalt. If enough of them fall short, the AfD could convert roughly two-fifths of the vote into an absolute majority.

But even if these smaller parties do make it into parliament, an AfD-led government in Saxony-Anhalt might be blocked only by a minority government or an ideologically incoherent coalition bringing together the CDU and the anti-capitalist Linke. Such an arrangement risks feeding the far-right narrative that a cartel of mainstream forces is conspiring to keep it from power and would also almost certainly produce a government founded on little more than opposition to a shared adversary.

The AfD's rise has been fueled by a combination of widespread concerns about immigration and related security issues, rising energy costs, and a backlash against perceived progressive cultural causes, from gender to language. In Saxony-Anhalt, the party's platform minces no words. It warns of the "aging and extinction of the German people" and calls for banning the rainbow flag from school buildings, imposing a moratorium on wind-energy expansion, and establishing volunteer citizen patrols. Siegmund frequently invokes "remigration" and has made the abolition of public broadcasting one of his signature issues. Compulsory schooling is a problem, he claims, while Vladimir Putin's Russia is a potential partner.

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And Saxony-Anhalt could be only the beginning. At around 28% support, the AfD is currently the strongest party in national polls. Membership numbers are soaring, and nearly half of Germans now say they are not afraid of the party. Just

two weeks after the vote in Saxony-Anhalt, the AfD is expected to come out on top in the state election in Mecklenburg-Vorpommern and to make a strong showing in Berlin.

For Germany's mainstream parties, shutting out up to a third of the electorate is not a viable solution. But nor is alarmism. A recent cover story in *Der Spiegel*, Germany's most influential weekly, featured a mugshot of Siegmund under the headline "Germany's most dangerous man." Siegmund, apparently delighted, has been handing out signed copies, turning the cover into a campaign prop.

Almost 400 years ago, the Magdeburg hemisphere experiment demonstrated the extraordinary force created by a vacuum. The Brandmauer operates on a similar principle, seeking to contain an oppositional force by keeping it out of government. But exclusion cannot substitute for effective governance, and vacuums are quickly filled when valves are opened.

The same is true for other European countries. In France, mainstream parties joined forces to hold the country's far right at bay in the 2024 legislative election but failed to produce a stable government. Belgium's political cordon sanitaire, meanwhile, has not stopped the nationalist Vlaams Belang party's growth. And in the Netherlands and Sweden, years of shunning the far right did not prevent its voter base from expanding.

What liberal democracy needs now is not firmer walls against political insurgents but a state that delivers on its core promises: an immigration policy that is neither performatively cruel nor an exercise in wishful thinking; an energy policy that enables rather than undermines industrial production; and reforms that build economic momentum instead of regulating it away.

In 1654, two copper shells and 30 horses showed the assembled princes of the Holy Roman Empire the power of atmospheric pressure. This month, Magdeburg may once more reveal the power of atmospheric pressure. The question is no longer whether the vacuum will be filled, but whether it will be filled by anger and resentment or by competence, responsiveness, and decency.

7. American Götterdämmerung

Author: Joseph E. Stiglitz **Published:** Sep 2, 2026 **Link:** [View Original](#)

NEW YORK—In what US Treasury Secretary Scott Bessent has heralded as an Economic D-Day, the United States is threatening to tighten the noose around Iran with sanctions on countries that continue to trade with it. But far from compelling others to join its efforts to isolate the Islamic Republic, the Trump administration's mounting blunders are hastening the transition to a post-American world order.

It's understandable why US "allies" are reluctant to join President Donald Trump's costly, misbegotten war of choice. They weren't consulted beforehand, and they obviously do not want to get involved now that the US has failed to topple the Iranian regime or devise a Plan B. Why, for that matter, would anyone come to help an administration that constantly berates its friends and partners, threatens to seize their territory (Greenland and Canada), and hits them with punitive tariffs?

There are two ways to convince others to go along with you: persuasion and bullying. But in Trump's case, neither is working. Aaron David Miller of the Carnegie Endowment for International Peace is right to conclude that D-Day, in this case, means "desperation day."

Persuasion requires credibility. Others must believe that the administration has achievable objectives and the means to attain them. But Trump has a well-earned reputation as a liar, so no one believes anything he says. In June 2025, he claimed to have "completely and totally obliterated" Iran's nuclear capacity, and in March he declared that the US had "literally obliterated" Iran's military. A war that was supposed to last four weeks, or perhaps a little longer, is now into its seventh month. And everyone from the Iranians to the Canadians knows that any agreement Trump signs will be as sturdy as tissue paper.

Bessent was supposed to be the cabinet member with the most credibility. But he has now squandered it with his recent, failed attempts to steer the bond and currency markets. His real motive was almost certainly to signal to his boss that he is "doing something." But why do Trump a favor when he may turn on you the next day, as he has done to just about everyone who previously carried his water?

With persuasion off the table, Trump's only option is the one he prefers anyway: bullying and chest thumping. But this presents a problem. He and Bessent seem not to realize that the US cannot push others around as much as it once did. Nor does Trump understand the changing nature of modern war or the evolving US role in the global economy. Perpetually stuck in the past, he is unable to realize that America's share of global GDP (in purchasing-power-parity terms) has shrunk by half since the end of World War II, from roughly 30% to just under 15% in 2025.

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More importantly, the US has lost control of key strategic chokepoints. The advanced chips used in most cutting-edge technologies are produced in Taiwan, and China dominates magnets and rare-earth production and processing. In these cases, even Trump realizes that America no longer holds all the cards. He may want to throttle the Islamic Republic's oil revenues by targeting the buyers; but China purchases 90% of Iran's oil exports, and it still holds a rare-earth trump card.

The responses to Trump's aggression reflect these increasingly unfavorable economic realities.

Seeing that American power is waning fast under Trump, Canadian Prime Minister Mark Carney has decided that enough is enough. He is refusing to surrender his country's economic sovereignty to America's mad king—a man who cannot even prevail over Iran.

The rest of the world is probably absorbing the same lesson. No one needs to tolerate such bullying. No one needs to capitulate or remain dependent on the US. A fast-changing global economic landscape offers many new opportunities for diversification. The sooner that Bessent and Trump realize how weak their hand is, the better it will be for the US and the world.

If China and others resist Trump's latest demands—as seems likely—they will neither collapse nor suffer the kinds of costs the US hopes to inflict. The economic world war Bessent has heralded would end in a stalemate, much like the impasse in the Strait of Hormuz. Once again, the US will pay a high price, and the costs it imposes on others around the world will further damage its reputation and soft power.

The US used to be a role model. It stood for democracy, economic opportunity, and other values that appeal to many countries. Now, it is a model of what not to do—a cautionary tale of extreme inequality, democratic erosion, corruption, and social division. The rest of the world should develop a new appreciation for the value of cooperation and the rule of law, both domestically and internationally. A world that casts off American leadership, at least for now, promises greater stability, security, and prosperity for all.

8. YOUR CHOICES REGARDING COOKIES ON THIS SITE

Author: Michael Bröning **Published:** 2026-09-03 **Link:** [View Original](#)

In committing to provide a safe swimmable place within 15 minutes of every home by 2035, London Mayor Sadiq Khan has set a measurable, time-bound goal that cannot be met through a single program or line item on the budget. Instead, it requires a public mission capable of mobilizing all ministries and shaping markets.

A new book tells the story of the economics discipline and its original purpose with a degree of verve and imaginativeness that puts dreary mainstream economists to shame. In the process, it gets at fundamental truths that major schools within the discipline have managed to obscure.

US President Donald Trump and his Treasury secretary's latest desperate threats confirm how much American power has waned on their watch. Far from compelling others to join their efforts to isolate Iran, they are hastening the transition to a post-American world order.

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13. How Will the US-Iran War End?

Author: Simon Johnson **Published:** Sep 3, 2026 **Link:** [View Original](#)

WASHINGTON, DC/BERKELEY—Last week, US Treasury Secretary Scott Bessent launched an “economic D-Day” program, intended to cut Iran off from all trading partners. So far, this intensified economic blockade has only contributed to an escalation of the US-Iran war, rather than moving it toward a conclusion.

That probably will not change, because China is unwilling to cooperate. And this is the reality that US policymakers must now face: Most possible paths to lasting peace run through China.

Wars end because one side gives up, or because influential people on both sides grow tired of the losses and want to move on, or because a powerful third party imposes peace. Seen through this lens, the US-Iran conflict could last for a long time. Hardliners on both sides are now deeply entrenched. Iran is not about to surrender, the US will not risk a full-scale invasion, and China, the only third party with enough clout to make a difference, seems inclined just to watch. Bessent’s economic isolation campaign is unlikely to prove decisive without the support of Iran’s most important trading partner.

If China continues to do business with Iran, the current Iranian leadership will most likely survive. Any US threats against China remain non-credible, given China’s leverage over the supply of critical minerals needed by the sectors driving economic growth in the United States and other major countries. No critical minerals means no computer chips—and no AI-led investment boom for the US.

Iran and the US agreed to a ceasefire in June, and this was quickly followed by a memorandum of understanding (MOU). But none of this has led to real peace. Iran is still effectively limiting passage through the Strait of Hormuz, and the US is still turning away most vessels associated with Iran. The MOU looked good on paper, but it was never fully implemented by either side.

When the US and Israel attacked Iran in late February, and Iran responded by closing the Strait of Hormuz, some strategic thinkers believed that China would press for a quick resolution of the conflict, primarily because, until recently, as much as 60% of its oil imports passed through the Strait of Hormuz. But this turned out to be a miscalculation. China had more than 1.2 billion barrels—200 million above its usual reserves—when the conflict began, and still holds more than 1.15 billion barrels today.

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At the same time, the disruption and increase in global oil prices have accelerated demand for renewables and electric vehicles, which has helped China’s exports. Ironically, these sectors are the same ones in which China has huge excess capacity. In that sense, the current crisis has postponed the financial losses in these sectors.

Overall, China turned out to be one of the least sensitive countries to the current crisis. This should be an important consideration in any future calculations by US policymakers and rules out instability in the Middle East as part of the toolkit for containing China.

The main loser from this war is the broader Middle East. The world economy is learning how to survive with oil and gas exports from the region at around half of their prewar level. Of course, it is a relatively costly adjustment, but the longer this crisis continues, the less sensitive the world economy may become to disruptions in the Middle East. This may not be good news for the region’s oil-exporting countries, and they are likely to lose market share over the medium term.

Countries in the region, especially Saudi Arabia, the United Arab Emirates, and Qatar, have also learned that reliance on US security may not work as well as they thought. Saudi Arabia is trying to increase its reliance on other regional allies, while Qatar and the UAE are talking directly with Iran and using economic incentives to buy some security for themselves. These shifts support the argument that regional economic integration must be part of the solution to the current impasse.

At first glance, more diplomacy by regional players may strengthen the case for the US washing its hands of the issue and leaving the problem to Iran's neighbors. But it is very hard to see how the nuclear issue would be addressed in this scenario, and without addressing that concern about Iran, it may be very hard to make any long-term plans or even achieve partial economic integration in the region.

The only stable solution to this crisis is one that involves China and increases economic integration in the region, as well as addressing the nuclear issue by integrating Iran's program into a regional civilian electricity production supply chain led by China.

Chinese President Xi Jinping is due to visit Washington at the end of September. Perhaps the US-Iran conflict can be resolved in the context of a broader discussion with President Donald Trump. Or perhaps China will be content to watch and wait.

14. Why the Far Right's War on Modern Architecture Matters

Author: Jan-Werner Mueller

Published: Sep 3, 2026

Link: [View Original](#)

PRINCETON—Although the far-right Alternative for Germany (AfD) has been surging in the polls for two years, it has been kept from power by other parties' refusal to enter governing coalitions with it. But since this “firewall” relies on the AfD never winning outright majorities, it could be fatally undermined by this weekend's state election in Saxony-Anhalt.

True, even if the AfD can form a government in Saxony-Anhalt, it will not be able to do much about its current preferred topic: migration policies and refugee law. But Germany's 16 federal states (Länder) do have wide-ranging authority over culture and education policy, and it is here that the AfD's program has been most revealing (and revolting).

Far-right populists always wage culture wars. Though they sometimes try to take advantage of cost-of-living crises or other economic challenges, peddling the idea that they alone represent what they call the “real people” is their core commitment. Because they insist that only citizens with the “right” characteristics qualify, they never miss an opportunity to push for the “remigration” not only of refugees but also of “unreal” or “fake” citizens, meaning those from the wrong ethnic background (or even those committed to the wrong political positions).

Given their fixation on questions of identity, far-right parties can keep changing their economic agenda—veering from neoliberalism to support for a strong welfare state—without ceasing to be far right. Only by changing their tune on refugees and migrants would they truly become a different political entity.

This brings us back to the AfD's program for Saxony-Anhalt. The AfD cleverly accuses what it calls the establishment parties (Altparteien) not of corruption or malice, but of a weakness of will that stems from “national masochism” and low “self-confidence.” These defects supposedly have “cultural” roots, namely a “tradition of destroying tradition” that has left the country defenseless against “rainbow ideologies.”

If things go its way, the AfD hopes to make Saxony-Anhalt a model of “patriotic cultural policies” for the other Länder. It advocates “thinking in a German way” (#deutschdenken), which means opposing the current regional government's Bauhaus-inspired campaign for artistic freedom and modern ideas.

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Founded in Weimar but eventually relocated to Dessau in Saxony-Anhalt, the Bauhaus school of art, design, and architecture is still remembered fondly for remarkable buildings like those designed by Walter Gropius in Dessau during the mid-1920s. But according to the AfD, Bauhaus represents “anti-German art,” meaning “German art that doesn't want to be German.” If given power, it would require every new edifice built with state financial support to reflect what it considers a recognizably German tradition (a category that apparently does not include the state's own most influential architectural school).

Attacks on modern architecture are not a peculiarity of the German far right. From former Hungarian Prime Minister Viktor Orbán to US President Donald Trump, who has issued multiple executive orders to make classicism the preferred style of new federal buildings, far-right leaders have long sought to transform the built environment to reflect what they regard as proper national traditions.

Their reasons are varied. For starters, architecture, from the huge mosques erected under Turkish President Recep Tayyip Erdoğan to the prominent Hindu temples commissioned by Indian Prime Minister Narendra Modi, provides tangible, widely visible clues as to who “the real people” are supposed to be. “Beauty”—one of Trump’s watchwords, but also one pushed by more sophisticated figures like the Dutch intellectual-cum-dandy far-right leader Thierry Baudet—is shorthand for advocacy of traditional hierarchies, from the household to the economy to politics. The AfD would require all new public buildings to be viewed by the majority as “beautiful” (which seems to suggest that every design must be subject to a popular referendum).

Plenty of self-consciously traditionalist organizations and online accounts support this vision, and unlike professional politicians, they are more likely to give the game away. Many explicitly pit classical architecture against “globalism”—a term that often serves as a slippery slope toward anti-Semitism—or reprise interwar (namely, Nazi) descriptions of modernism as “degenerate art.” For all the emphasis on particularity, anti-modernism is itself a depressingly homogeneous worldwide phenomenon.

The AfD’s description of Bauhaus as a symbol of “deracination” has already been answered with a new “Bauhaus Manifesto,” initiated by Germany’s federal cultural minister. But as laudable as this document is as a political statement, it ends up massively oversimplifying the history of 20th-century architecture. Contrary to the manifesto’s central claim, it is far from obvious that all the protagonists of the Bauhaus stood for an “open society.” In fact, some were quite ready to work with and for the Nazis (who officially banned the school). A Bauhaus-trained architect was among those who designed Auschwitz.

The point is not that everyone who likes traditional architecture must be a closet right-wing extremist. Rather, it is that the far right’s cultural agenda is intimately tied to its underlying exclusionary political agenda. And since the built environment always serves to make values visible, as the philosopher Susan Neiman once put it, it would be a mistake to dismiss the fight over modern architecture as a sideshow.

15. Whipsaw Trade Policy Is Depressing Foreign Direct Investment

Author: Jonathan D. Ostry **Published:** Sep 3, 2026 **Link:** [View Original](#)

TORONTO—When US President Donald Trump warned business leaders in Davos last year that tariffs were coming, he offered a word of friendly advice: “Come make your product in America” and thereby sidestep looming import duties from the get-go. In the months that followed, Trump’s America First trade policy took shape. The “Liberation Day” tariffs were announced, paused, restored, found to be unconstitutional, and then replaced by duties enacted under different legislation.

The upshot was a combination of high tariffs (at rates last seen in the 1930s) and burdensome uncertainty for businesses that could no longer plan their operations. Even now, unpredictability remains a signature feature of US trade policy, with new rounds of unilateral tariffs recently announced amid the expiration of tariffs imposed in February and a renewed push to restore higher levels of protection for US firms.

These two components (restrictiveness and unpredictability) extend to the global trade policy landscape more broadly. As advanced economies have embraced industrial policy, tariffs have emerged as a central instrument to reduce dependence on foreign supply chains, promote reshoring of jobs and production, and address perceived unfair foreign trade practices. But what about the impact of the policy regime on inward foreign direct investment (FDI), which remains an important objective in its own right?

In a recent paper, my colleagues and I examined how trade-policy shocks affect bilateral FDI flows. While our research was motivated by policy developments in the United States, it takes a global perspective, covering bilateral investment flows from over 200 source countries to 35 OECD countries over nearly four decades. Our goal was to quantify causal effects: how FDI evolves in the aftermath of a trade-policy shock (an increase in restrictions or uncertainty) relative to the counterfactual of no shock.

In theory, trade restrictions have ambiguous effects on FDI. On the one hand, because tariffs raise trade costs, they will tend to deter efficiency-seeking and export-oriented FDI, which relies on the seamless exchange of intermediate goods across borders within global value chains. By increasing both the level and volatility of trade costs, trade-policy shocks (restrictions and uncertainty) reduce the expected profitability of integrated production networks and weaken incentives to locate stages of production abroad. Unpredictability depresses FDI by increasing the option value of delaying investment until the policy landscape is clearer.

On the other hand, trade barriers may encourage market-seeking or tariff-jumping FDI (as Trump alluded to), whereby firms establish production facilities within protected markets to preserve access and avoid import duties. This tactic was in evidence last year amid the US-China tariff escalations, when several Chinese firms expanded production in North America and third countries to circumvent US tariffs.

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Taken together, these considerations suggest that the relationship between trade-policy shocks—both realized trade restrictions and increases in policy uncertainty (words and deeds)—and FDI is ultimately an empirical question.

Our findings paint a sobering picture of how both trade restrictions and policy uncertainty affect bilateral FDI inflows. While both shocks dampen FDI, the uncertainty shock is far more potent (its impact on a comparable basis is about three times larger than the restrictions shock—a 50% reduction (relative to the FDI sample mean) in the first year following a one standard-deviation uncertainty shock, compared to 15% for the tariff shock). The difference reflects how investment decisions involving high sunk costs respond to expectations about future regulatory environments. When uncertainty spikes, investors sit on the sidelines, delaying investments until the policy fog clears.

Interestingly, the damage to FDI appears to be stronger when source and host countries are geoeconomically and geopolitically close than when they are distant. When host and source countries are close partners in global production networks, the hit to FDI from trade restrictions is amplified. And when host and source countries are geopolitically close (based on United Nations voting records), the impact of uncertainty shocks is likewise amplified.

Amid governments' reconsideration of the benefits of global trade integration, tariffs have emerged as a central policy instrument, justified on national-security grounds, to support domestic manufacturing and employment, or to correct other countries' perceived unfair trade practices (including state subsidies and undervalued currencies). Seen in this light, the chilling effect of tariffs on FDI might be viewed as unavoidable collateral damage.

But even for those who desire less global trade integration, the surge in policy uncertainty seems to carry a cost without any corresponding benefit—an own goal or self-inflicted wound. In this respect, elevated policy uncertainty is a puzzle. If a country opts for higher trade restrictions to promote its (perceived) domestic interests, a predictable policy is far superior to a volatile one, as it avoids the unnecessary and large collateral damage to FDI inflows.

16. India's Resilience Depends on Diversified Trade

Author: Shekhar Aiyar **Published:** Sep 3, 2026 **Link:** [View Original](#)

NEW DELHI—Indian Prime Minister Narendra Modi's participation in the recently concluded Shanghai Cooperation Council meeting in Kyrgyzstan was about more than regional security; he also used the forum to push for deeper trade links between member states. This is only the latest example of India's proactive pursuit of trade diplomacy. Last year's free trade agreement (FTA) with the United Kingdom was followed this January by the "mother of all deals," a wide-ranging agreement with the European Union. And high-level trade talks continue with the United States, building on a joint statement of intent issued in February.

But the backdrop to this big push is fraught, to put it mildly. US President Donald Trump's sweeping and erratic tariffs are only the latest body blow to the international trading system. The World Trade Organization's Appellate Body, which adjudicates trade disputes between member states, has been decapitated since 2019. Countries are increasingly viewing trade and investment through a national security lens. The rules-based multilateral trade order that the Asian Tigers and China relied on to pursue export-led development has effectively collapsed, with no evident successor in sight. As Antonio Gramsci put it at another moment of profound global upheaval, this is "the time of monsters."

How might a middle power like India anchor its trade strategy in such a tumultuous period? The nascent field of geoeconomics offers some useful guidance.

Consider the concept of "geopolitical distance." Political scientists at Georgetown University have compiled a database measuring the gap between countries at any given point in time, based on voting patterns at the United Nations General Assembly. Research has shown that geopolitical distance is becoming increasingly important in determining patterns of international economic engagement. Bilateral trade, foreign direct investment and cross-border financial claims fall sharply with geopolitical distance.

This trend raises the prospect of a segmented world economy, with export markets shrinking for most countries. While such "geoeconomic fragmentation" is still limited compared to, say, the Cold War era, the trajectory is worrying. A review of several recent papers suggests that a full decoupling of the global economy into rival blocs could reduce global GDP by up to 7% in the long term. The burden would fall disproportionately on emerging and developing economies, which stand to benefit the most from external market access, unrestricted foreign direct investment, and technology transfers.

In this landscape, the best strategy for a middle power is likely to be diversification: building a network of trade relationships sufficiently dispersed so that no single bilateral rupture could cause catastrophic harm. The obvious analogy is to modern portfolio theory: a well-diversified investor is not betting on any particular asset but rather seeking insulation against the failure of a subset of assets. Here, the relevant measure is the standard deviation of a country's trade-weighted geopolitical distance from all trade partners.

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By this metric, India is rather well placed. It ranks among the top quartile of countries for export diversification across the geopolitical spectrum, and near the median for import diversification. Its trade relationships range from the US and Europe to Russia and the Gulf, with many Asian and African economies in between. It has conspicuously refused to be corralled into a single bloc: abstaining from Ukraine-related votes at the UN and deepening the Quad partnership, while

also playing a foundational role in the BRICS group and negotiating deals with both the US and the EU. Such strategic diversification is enormously valuable in a fragmenting world.

Indian policymakers should draw several lessons from these findings. First, to leverage its enviable spread of partners, India must trade much more than it does today. While the country's current trade-to-GDP ratio of about 45% marks considerable progress from the near-autarky of the pre-liberalization era, it remains well below the levels achieved by successful East and Southeast Asian economies.

The recent string of FTAs is an excellent start, but more could be done to develop regional trade by joining major agreements such as the Comprehensive and Progressive Agreement for Trans-Pacific Partnership. Closer to home, trade links among the economies of South Asia remain much weaker than those among comparable groups such as the Association of Southeast Asian Nations. To take one example, they could be strengthened by expanding cross-border energy markets: abundant hydropower from neighbors such as Nepal and Bhutan could reduce India's dependence on fossil-fuel imports.

Next, India should participate in plurilateral deals struck among various subsets of WTO members seeking to deepen trade in a specific area. The Columbia University economist Jagdish Bhagwati famously argued that plurilateral agreements impede first-best multilateral progress, but that argument is irrelevant when the WTO has not made any multilateral progress on lowering trade barriers since the Doha Development Round commenced in 2001. Consider the plurilateral agreement on e-commerce now being implemented by 66 members, covering 70% of global trade. As a large net-exporter of digital services, India should not only sign on, but also seek a leading role in the coalition.

Finally, India should zealously safeguard the diversification it has already achieved, which in turn makes it an attractive partner for countries forging a "China Plus One" strategy or, increasingly, seeking to reduce trade dependence on the US. That means being wary about any bilateral agreement that curtails its freedom of action vis-à-vis third countries. Canada has set an example by walking away from trade negotiations with the Trump administration in part because the US sought veto power over its engagement with other countries.

Of course, Canada is overwhelmingly dependent on the US as an export market, so it is unclear whether its principled stand will succeed. For India, well-diversified to begin with, the case is more clear-cut. A country that has spent decades cultivating strategic autonomy should think long and hard before trading it away for preferential market access, however attractive the terms. India must lean into its position as one of the few countries to combine economic scale, democratic legitimacy, and geopolitical breadth to boost trade and remain open to all comers.

17. Is AI Crowding Out Other Investment?

Author: Dambisa Moyo

Published: Sep 4, 2026

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LONDON—Wall Street analysts keep revising their forecasts for AI-related capital expenditures upward, with some estimating that major tech firms—including Amazon, Microsoft, Alphabet, Nvidia, and Meta—could spend as much as \$1.4 trillion by 2027. Gartner, a research and advisory firm, projects that global AI spending will reach \$2.5 trillion this year.

The staggering amount of capital now being earmarked for data centers sprouting across the United States, advanced networking equipment, and electricity infrastructure raises a critical question: Is the AI buildout crowding out investment in other sectors? As Goldman Sachs economists Jessica Rindels and David Mericle—hardly anyone’s idea of modern-day Luddites—observed, there is a real risk that AI could starve other productive sectors of capital and become a drag on growth.

Indeed, the consensus among investors, as Apollo Global Management’s Chief Economist Torsten Slok recently noted, is that hyperscaler capital expenditure will reach roughly 3% of GDP annually between 2027 and 2029. That is sharply up from 0.3% of GDP in 2019 and 1.4% in 2025.

AI industry leaders and investors argue that the current AI boom could deliver enormous productivity gains, transforming the global economy and leaving everyone better off. Like previous technological revolutions, AI promises to restructure entire industries, from defense and manufacturing to education. It could also reduce costs in sectors, especially education and health care, where efficiencies have long been elusive.

AI-related investments have already become a major driver of US economic growth. Morgan Stanley estimates that capital expenditures on the technology could add as much as 2.5% to US GDP growth this year and more than 3% in 2027.

But is the AI spending spree coming at the expense of other industries? In 2025, AI accounted for 65.4% of venture-capital deal value in the United States. With its voracious appetite for capital, there is a real chance that the industry could starve other promising fields, such as biotech and nanotechnology, of much-needed investment. Already in 2024, AI engineer Abhay Gupta warned that startups in suddenly less-glamorous areas like greentech and social impact investing were finding it much harder to attract VC capital because of the AI boom.

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Crowding out is not confined to venture capital. It can also occur when fierce competition for capital pushes borrowing costs high enough to choke off financing for otherwise attractive projects or sectors.

There are already signs of this dynamic in capital markets, the most obvious one being that borrowing costs, as measured by real interest rates, have been rising. The recent spike in US Treasury yields could partly reflect the growing demand for financing fueled by the AI investment boom; new Fed Chair Kevin Warsh’s hawkish approach to inflation no doubt also contributed. For the first time in more than 30 years, capital is being repriced as demand begins to exceed supply. If AI is driving that shift, the result could be a massive crowding-out effect.

To put the sheer scale of capital flowing into AI in perspective, relative to US GDP, the AI super cycle ranks ahead of previous investment booms, including the mid-19th-century railroad boom, the construction of the US interstate highway

system from 1955 to 1970, and the Apollo space program.

The range of financing tools tapped to satisfy this demand is equally striking. Virtually every financial instrument and innovation developed over the past few decades is being used to fund the AI buildout, from plain-vanilla investment-grade bonds and securitizations to private credit, leasing-style structures, and retail funds.

Naturally, such a vast amount of debt (and equity) issuance has fueled concerns about circular financing deals in which major AI players, including chipmakers and cloud providers, fund startups in the AI space. Those startups then spend that capital on hardware and computing power from the very same providers.

This circular financing structure poses risks to the financial system and the real economy, particularly at a time of rising bond yields, when leverage among AI businesses could spark a financial crisis. Bank of England Governor Andrew Bailey recently warned of a potential “blow-up,” or collapse of the AI investment bubble, that could trigger a major global financial downturn.

Compounding this surge in demand for capital is a decline in savings. Since OpenAI released ChatGPT in November 2022, the US household savings rate has fallen from 3.8% to 3% while AI investment has surged. This stands in stark contrast to the situation during then-Federal Reserve Chair Ben Bernanke’s tenure, from 2006 to 2014, when a savings glut coincided with a private sector dominated by businesses with relatively modest capital needs, keeping interest rates low. Today, a capital-intensive industry is dominating investment flows just at a time of declining savings and rising interest rates.

This increases the risk of crowding out investment in other industries. The private sector has a finite pool of capital, and its size is largely determined by how much people are willing to save. The more of those savings AI absorbs, the less there is for everything else, including factories and other investments that require large amounts of capital.

Debt markets provide an early indication of this strain. In the first eight months of 2026, the five largest hyperscalers issued \$132 billion in debt, compared with an annual average of \$35 billion in debt between 2020 and 2024. And that doesn’t even include financing for data centers, chipmakers, and utilities. Vanguard estimates that AI-related debt issuance could total \$300–570 billion for the full year.

Rising capital costs signal that demand is outpacing supply. With so much capital flowing to data centers and AI infrastructure, higher interest rates make it more expensive for other sectors to raise money in the bond market. As AI-driven demand for capital rises, borrowing from other industries must fall in order for the market to return to balance. When the supply of capital is inelastic, some demand inevitably goes unsatisfied. If this actually happens, the economy may well experience the “innovation winter” that the Eurasia Group warned about in 2019 as a potential consequence of capital starvation.

Another indication of crowding out is the widening gap between the performance of AI-related stocks and the rest of the market. From 2023 through 2025, the “Magnificent Seven”—Alphabet, Amazon, Apple, Meta, Microsoft, Nvidia, and Tesla—outperformed the S&P 500 by a wide margin, at times accounting for as much as two-thirds of the index’s total gains.

Together, these seven companies now make up more than one-third of the S&P 500’s total market capitalization. RBC Wealth Management has called this concentration the “Great Narrowing,” describing it as even more pronounced and entrenched than during the dot-com era, which of course ended in a crash. Although RBC acknowledges that concentration does not necessarily mean a bubble, the risks are real, ranging from the damage that a poor earnings report from just one company could inflict on the overall index to the more serious threat to the economy if sentiment toward AI suddenly turns negative.

Capital is also not the only resource AI is competing for. Its insatiable demand for water, electricity, land, and materials could drive up prices and leave other sectors to compete for increasingly scarce supplies.

Recent company earnings calls suggest that this is already happening in some areas. Intel, for example, has indicated that semiconductor supply is being directed toward AI and away from PCs. Elevator manufacturer Otis and homebuilder Lennar have pointed to skilled-labor and construction-capacity shortages that are delaying projects. IBM has noted that IT budgets are shifting toward AI and away from conventional hardware and software, while Micron and SK Hynix have reported memory shortages constraining PC and smartphone production.

Despite considerable financial and anecdotal evidence, the claim that AI is crowding out other investment is far from settled. There are at least three reasons to question this narrative, one of which suggests that the AI boom could be having precisely the opposite effect.

For starters, there is no clear evidence of crowding out in the macroeconomic data. AI may be consuming a greater share of investment, but that has not been offset by a decline in investment elsewhere. In fact, data from the Bureau of Economic Analysis show that gross private investment as a share of US GDP has remained broadly stable.

Second, higher interest rates could reflect a repricing of financial assets rather than crowding out. The 30-year Treasury yield has risen by more than 33 basis points since the start of the year, but that increase has been attributed largely to the Iran war and renewed inflation concerns following the spike in energy prices. With so many forces driving up rates, it is hard to say with any certainty how much of this trend reflects the impact of AI.

The third counterargument draws on the so-called Jevons paradox: when a new technology makes a resource more productive and efficient, the resulting cost declines can strengthen, rather than weaken, demand for the resource. By this logic, AI could increase productivity, lower costs, and boost demand for a wide range of goods and services, prompting companies to invest more in response. AI investment could thus become a catalyst for investment in other sectors—power generation and utilities, financial services, and cloud computing—rather than sucking capital away from them.

For now, AI appears to be crowding out investment at the margins and not across the board. It is clearly diverting capital and resources away from other sectors, but there is not yet enough evidence to conclude that it is dragging down overall investment or economic growth.

18. Asia's Natural Disasters Must Not Become Financial Crises

Author: Yasuto Watanabe

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SINGAPORE—The catastrophic flooding in Nepal has demonstrated, once again, the devastating human and economic toll of climate change. The immediate priority must be to save lives and support affected communities. But the devastation also highlights how physical hazards can quickly morph into macroeconomic shocks.

These events have different causes, and no single disaster should be casually attributed to El Niño or climate change. Nonetheless, the World Meteorological Organization expects a strong El Niño to intensify from August through October, increasing the likelihood of above-normal temperatures in much of the world and major shifts in rainfall. In Southeast Asia, El Niño often brings drier conditions and raises the risk of drought, wildfires, and haze, although its effects vary across countries and seasons.

For policymakers, the imperative is to prepare for the economic chain reactions triggered by extreme weather events. Droughts, floods, and heat waves damage crops and infrastructure. In countries with inadequate food stocks, weak logistics, and concentrated import sources, lower production can lead to shortages, higher prices, and declining household purchasing power. Governments face pressure to subsidize prices or facilitate emergency imports, while central banks confront the difficult combination of supply-driven inflation and weaker demand.

Then comes the fiscal aftershock. If roads, ports, irrigation systems, schools, and hospitals cannot be repaired or replaced in a timely manner, temporary disruptions can turn into a permanent drag on productive capacity. Governments may be forced to divert spending from development, borrow at short notice, or wait for external assistance. A post-disaster financing gap can all too easily become a long-lasting economic slump.

When disaster strikes, countries must be prepared not only to limit physical damage, but also to reduce economic downtime, maintain essential public services, contain financial stress, and prevent short-term losses from weakening long-term growth. A robust, rapid recovery requires providing humanitarian support and stabilizing macroeconomic conditions.

The scale of the challenge is staggering. According to the United Nations Office for Disaster Risk Reduction, direct disaster losses averaged \$180–200 billion annually between 2001 and 2020. When accounting for indirect, cascading, and ecosystem effects, the total annual cost rises to more than \$2.3 trillion.

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Asia must be prepared. To that end, in May, finance ministers and central bank governors from ASEAN+3 countries (the Southeast Asian member states, plus China, Japan, and South Korea) endorsed the Disaster Risk Financing Initiative's 2026–28 roadmap. This framework will help members develop national disaster-risk financing strategies and expand their use of insurance, catastrophe bonds, and other relevant instruments.

To be sure, prearranged financing cannot cover the full costs of a major disaster. Nor should insurance be expected to do so. Their value lies in providing reliable funding during the critical early stage of a crisis, when delays are most damaging, and governments have the least room to improvise. For example, on September 4, the Southeast Asia Disaster Risk Insurance Facility, a regional platform under the umbrella of ASEAN+3, announced total payouts of \$2.28 million to

Laos and the United Nations World Food Programme after official data showed that more than 260,000 people had been affected by heavy rainfall and widespread flooding.

The right approach is to match financing to risk. Budget reserves and disaster funds can cover frequent, relatively small losses. Contingent credit may be used for medium-size shocks, while insurance and capital-market instruments should be reserved mainly for less frequent but fiscally severe events. To ensure that the funds reach affected communities quickly, governments must have effective social-protection systems and contingency plans.

This process converts uncertain post-disaster liabilities into risks that can be measured, priced, allocated, and, most importantly, managed in advance. When some of the recovery costs are prearranged, governments are less likely to increase taxes abruptly, slash public investment, resort to emergency borrowing, or delay aid. Fiscal exposure becomes more predictable, reducing uncertainty around public debt, inflation, and economic growth.

The benefits extend beyond government balance sheets. Such an approach also provides businesses and financial markets with greater clarity about post-disaster taxation, public-investment cuts, payment delays, and credit conditions. And it enables a quicker restoration of ports, roads, electricity, and communications, limiting disruption to regional supply chains. Across the closely integrated ASEAN+3 region, recovery in one economy helps preserve its neighbors' stability.

The economics of climate change has reframed the role of disaster-risk finance. No longer merely a peripheral instrument that pays claims after an extreme weather event, it has become a policy lever that protects fiscal space and improves the medium-term outlook before a crisis occurs. Disaster-risk finance functions as a macroeconomic firewall for fiscal policy, financial stability, food security, social protection, and infrastructure planning, reducing both economic volatility and uncertainty about the recovery.

ASEAN+3 has spent decades building its regional financial safety net against currency and financial crises. As a strengthening El Niño threatens to take its toll on the region, the next task is clear: prevent natural disasters from becoming humanitarian, fiscal, and, ultimately, financial crises. With regional disaster-risk finance, governments will be in a better position to restart their economies, preserve fiscal space, and contain spillovers. That is what real resilience looks like in a warming world.

19. The Golden Bridge to Monetary Multipolarity

Author: Hippolyte Fofack **Published:** Sep 4, 2026 **Link:** [View Original](#)

MONTREAL—One clear sign of de-dollarization and the shift toward a multipolar monetary order is gold’s renewed prominence in global financial markets. Investors increasingly view the metal as a strategic asset; central banks are buying record amounts of it to bolster resilience against financial and geopolitical risks, with last year marking the fourth-largest expansion of gold reserves on record. The Dutch central bank’s decision to move much of its gold reserves out of the United States, citing “geopolitical unrest,” is but the latest example of this trend.

Market reactions to US Treasury Secretary Scott Bessent’s intervention in bond markets after the sharp selloff in longer-dated US debt and the resulting higher yields in the usually quiet month of August further support the perception of gold as the ultimate safe-haven asset. Bessent’s intervention sparked a sharp drop in the dollar and a massive rally in gold prices.

This follows the European Central Bank’s confirmation in June that gold had overtaken US Treasuries as the world’s top reserve asset. That status seems likely to harden and spread. According to a recent survey by the Official Monetary and Financial Institutions Forum, more central banks plan to decrease their dollar holdings than to increase them over the next decade. The World Gold Council’s 2026 Central Bank Gold Reserves survey reports similar findings, with 74% of respondents anticipating moderate or significantly lower dollar reserves over the next five years.

It is, of course, unlikely that a new global monetary hegemon will replace the dollar any time soon, especially in a digital age marked by rapid technological diffusion and increasing dispersion of economic power. Instead, the slow retreat from the greenback signals the emergence of a more diversified international monetary system in which several currencies—the dollar, the euro, and the renminbi—play important roles, particularly in central-bank reserve holdings. In such a system, gold serves as the politically neutral reserve asset linking competing monetary blocs.

Central banks, sovereign wealth funds, and institutional investors have begun to prioritize capital preservation over high returns, mainly because high-yield investments lose their appeal if the underlying assets are at risk of becoming inaccessible during periods of conflict or instability. Gold, whose relationship with the dollar’s trade-weighted exchange rate is typically negative, carries no sovereign counterparty risk, making it a superior hedge against the challenges of a rogue America and geopolitical turbulence.

Geopolitical risks have transformed the international monetary system from a neutral infrastructure that facilitates global commerce and cross-border investment into an arena of strategic competition, fundamentally altering the risk-return balance and elevating national security from a peripheral concern to a threshold condition for investment decisions. Strong demand for gold reflects a broader transformation in global finance, marked by a shift from financial claims to tangible ownership, from efficiency to resilience, and from dependence on a single reserve currency to a more diversified and strategically balanced monetary order.

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This reassessment of sovereign risk has certainly influenced the People’s Bank of China’s reserve strategy. In July, the PBOC increased its gold reserves for the 21st consecutive month to 76.08 million troy ounces. Meanwhile, China is building up its physical gold inventories in Hong Kong, which recently launched a gold clearing and settlement system on a trial basis, and has limited retail investors’ access to precious-metals trading.

China's shift toward holding physical gold underscores the evolution of the metal's function, from a financial asset to a strategic monetary asset. In addition to reducing dollar exposure, gold's larger role in the management of the country's currency reserves also promises to strengthen trust in the renminbi and reinforce confidence in the PBOC's balance sheet. It also seems aimed at boosting efforts to facilitate the renminbi's broader use, including through bilateral currency-swap agreements, trade-settlement mechanisms, and debt issuances, with the market for renminbi-denominated debt instruments (offshore "dim sum" and onshore "panda" bonds) rapidly expanding.

But China's push to promote the renminbi does not mean that the currency is capable of unseating the dollar. The renminbi remains subject to capital controls and lacks the financial depth to compete with the greenback globally.

Similarly, recent initiatives to internationalize the euro, most notably the expansion of the enhanced Eurosystem repo facility for central banks and the growing issuance of euro-denominated debt, have been relatively successful, with it becoming the leading currency in the green and sustainable international bond market in 2025. But still, the euro cannot hope to fill the dollar's global shoes, owing to structural and institutional barriers, notably the lack of a unified fiscal policy and deep, seamless capital markets.

Even so, gold complements the rise of rival currencies and supports diversification by providing a common store of value that is accepted without regard to geopolitical alignment or other monetary arrangements. Thus, its ascent reflects efforts—including local-currency settlement between BRICS members and cross-border payment systems in Asia and elsewhere—to deepen regional integration and reduce dependence on the dollar for trade and investment.

Digital technologies that enable the circumvention of traditional correspondent banking networks add another dimension to gold's renewed relevance. Central bank digital currencies and real-time payment infrastructure enable the creation of a decentralized monetary system in which multiple currencies coexist, forming the backbone of a new global financial system for the digital age. Yet technology cannot replace the need for trust: gold continues to provide the universal credibility that underpins confidence during periods of structural change.

While conventional wisdom that "there is no alternative" to the dollar still holds, the process of de-dollarization was never expected to be abrupt. Global redistribution of monetary influence will almost surely be gradual and cumulative, mirroring the realignment of economic power.

The case for gold—the ultimate neutral reserve asset, trusted by all countries and controlled by none—as a shield against geopolitical and financial shocks remains undeniable. But it is hardly the only reason for embracing the metal. In the face of a huge technological revolution and a global economic reordering, authorities are also seeking to strengthen their monetary sovereignty and end reliance on any single reserve currency.

This structural transformation of the international monetary system is the deeper and more enduring driver of demand for gold, suggesting that strong demand for the metal, which serves as the natural bridge to monetary multipolarity, is here to stay. As Shakespeare's Cloten rightly observes about gold in *Cymbeline*: "what can it not do and undo?"

20. America's Naval Disaster

Author: Anne O. Krueger **Published:** Sep 4, 2026 **Link:** [View Original](#)

WASHINGTON, DC—At the end of World War II, the US Navy was by far the world's largest. As late as 1975, the United States remained a major shipbuilding power, although its preeminence had already begun to diminish. By the end of the 20th century, however, American shipbuilding was in steep decline, despite government efforts to revive it.

As American shipbuilding declined, China surged ahead. In 2015, its naval fleet roughly matched that of the US. Five years later, it had 350 warships, while the US Navy had 293, down from 583 in 1987. The country now accounts for more than 50% of global shipbuilding by tonnage (commercial and military), with South Korea and Japan producing much of the rest. Chinese shipyards produced 1,700 ships in 2025, compared with just five ships built in the US.

And the outlook is hardly encouraging. China aims to expand its naval fleet to 435 ships by 2030, compared with the US Navy's plan to add 58 by 2031, including 15 "Trump-class" battleships. While the Chinese target is widely viewed as realistic, the American plan is thought to be "far-fetched."

This widening gap has spurred bipartisan efforts to rebuild American shipbuilding. The SHIPS for America Act of 2025 provides industry subsidies and other measures aimed at boosting domestic production, including a Maritime Security Trust Fund of up to \$20 billion. In February, the Trump administration followed it with the Maritime Action Plan, an effort to rebuild the maritime industrial base by securing investment pledges from allies like South Korea.

But shipbuilding capacity is only part of the story. The US Navy is also struggling to keep its existing fleet ready for service, with high costs and chronic delays contributing to a 20-year maintenance backlog; some ships are being decommissioned early. Fleet readiness fell to 68% in 2025, well below the Navy's 80% target, pushing deployments beyond the Navy's six-month goal. Deteriorating conditions on the USS Abraham Lincoln, the USS Gerald Ford's 326-day deployment earlier this year, and the recent power outage aboard the USS Benfold are all evidence of that strain.

While the current shipbuilding push may strengthen the industry, it does little to address the underlying causes of its decline. Chief among them is Section 27 of the 1920 Merchant Marine Act, better known as the Jones Act, which requires cargo shipped between American ports to travel on US-registered, American-built vessels owned and crewed by Americans. Repairs performed abroad are subject to a 50% tax.

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By protecting American shipbuilders from foreign competition, the Jones Act has made domestic shipbuilding and shipping extremely uncompetitive. Ships cost 4–5 times as much to build in the US as in major shipbuilding countries and 3 times as much to operate as foreign-flagged vessels, largely because of higher labor and material costs.

The results should surprise no one. As of 2025, only 92 ships were Jones Act-eligible to carry goods from one American port to another, with their average age exceeding what is considered safe. With shipping so expensive that moving goods by rail, road, and barge is often cheaper, cargo traffic along the Atlantic and Pacific coasts has fallen by half since 1960.

America's shipping shortage is now so severe that the Trump administration issued a Jones Act waiver for energy and fertilizer shipments in March, then extended it by another 90 days in early August. More jet fuel has been shipped from the Gulf Coast to the West Coast since the waiver was granted than in the previous 36 years combined.

Unlike their US counterparts, major shipyards abroad build both commercial and military vessels, which share many inputs, from steel hulls and engines to propellers. Their workers can gain experience building simpler commercial vessels before moving to more complex military ships. And because government procurement fluctuates with budgets and changing defense needs, shipyards that can shift workers between commercial and military production have a competitive advantage.

Tariffs on imported parts and components are another driver of rising US shipbuilding costs. The US Navy is operating within a fixed budget of \$292 billion for fiscal year 2026, including \$47.4 billion for shipbuilding, which means that those higher costs must ultimately be paid for through additional taxes or through reductions in fleet size and capability.

Then there are Trump's expensive whims and bizarre fixations. Despite the Navy's preference for electromagnetic catapults, which are cheaper, require fewer sailors, and can launch and recover aircraft more quickly, Trump has ordered a return to steam-powered systems. He has also directed the Navy to explore moving the command tower on aircraft carriers to a location he finds more aesthetically pleasing. These changes will cost billions of dollars and add nothing to the Navy's combat capabilities.

Trump's "golden fleet" of "Trump-class" nuclear-powered warships promises to be vastly more expensive. Designing the ships could take more than a decade, and the Congressional Budget Office estimates the program's cost at \$275 billion, with the first ship alone costing \$23.4 billion. Even if the plan proves infeasible, as many analysts expect, pursuing it would still drain the Navy's budget.

To reduce the exorbitant cost of its naval vessels, the US will have to turn to foreign competitors. But that alone will not revive American commercial shipbuilding, which cannot recover without repeal of the Jones Act.

Until then, it makes far more sense to procure ships and components from allied shipbuilding powers while continuing to subsidize domestic production where strategically necessary. Using part of the Navy's budget to buy ships from foreign allies would enable the US to acquire several times as many vessels at a fraction of the cost of building them at home.

21. America's Un-American AI Companies

Author: Yaqiu Wang Published: Sep 4, 2026 Link: [View Original](#)

PHILADELPHIA—In Washington, nearly every serious proposal that could constrain American AI companies runs into the same objection: restrictions would endanger national security and future prosperity by giving China the advantage. As OpenAI CEO Sam Altman put it at a 2025 Senate hearing, the United States needs “sensible regulation” that “does not slow us down.”

This formulation has intuitive appeal. No one advocates poorly designed rules that would needlessly weaken US innovation. Yet “don’t slow us down” too often becomes a demand for democratic institutions to step aside while a handful of private companies decide how one of the most powerful technologies in history will be built, deployed, and governed.

To be sure, much is at stake in the competition with China. A world in which Beijing dominates AI would be more censored, more surveilled, and inherently hostile to human rights and democracy. But America can prevail by leaning into the strengths of an open society: democratic accountability, the rule of law, robust competition, and free public debate. This is precisely where American AI companies can outcompete their Chinese rivals—not despite democratic oversight, but because of it.

After all, if an AI system is used in a hospital, school, police station, or on the battlefield, people want to know that it is subject to rules, that decisions affecting their lives can be challenged, and that there are meaningful mechanisms for redress when something goes wrong. These features require clear liability rules, transparency, due process for high-stakes automated decisions, and effective enforcement.

While democratic controls may in some cases slow deployment, they can also accelerate adoption by making AI systems more trustworthy. Liability rules can encourage companies to address foreseeable risks before they cause harm; transparency can help researchers identify failures that companies miss or prefer not to disclose; and standards for testing, incident reporting, data protection, and human review can give customers greater certainty while reducing risks to society.

The US won’t beat China in a race to the bottom, because China’s political system is better equipped for it. It can compel companies and public agencies to pool data across finance, travel, health, policing, and everyday communications, then use that information to control and exploit citizens on a scale no democracy should seek to emulate. It can direct companies to pursue national industrial goals because courts, legislators, and civil society do not constrain the party-state. If America tries to compete by giving its own companies more secrecy, more impunity, or more power over citizens’ lives, it has already lost.

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Chinese technology companies’ own global track record shows further why democratic accountability matters. Huawei has promoted its “safe city” systems as tools for public security, but in some countries, they have raised concerns about political espionage and weak human-rights safeguards. Chinese-backed infrastructure and surveillance projects have also faced concerns about opaque contracts, corruption, and political influence.

That difference matters beyond US borders. People affected by American companies anywhere in the world can draw attention to their cases, seek coverage from the press, and enlist US civil-society organizations to advocate on their

behalf. Similarly, foreign businesses can seek redress through US courts, regulators, and independent mediation channels. None of these independent avenues exist in China to challenge companies acting with the party-state's support.

American AI companies should learn from the recent history of social media. Major platforms spent years resisting regulation as their business models degraded democratic discourse, spread disinformation, undermined privacy, addicted children, and concentrated enormous power. Yet despite growing public frustration, these companies avoided a decisive political reckoning because much of the harm was diffuse and cumulative, making it hard to say why one company bore more responsibility than another.

AI companies will have much less room to hide. When an AI system screens someone out of a job, denies a benefit or a loan, gives harmful advice, or produces a false facial-recognition match, the consequences are immediate, measurable, and often traceable to a specific product and company. That clear line of responsibility makes a backlash more likely and harder to deflect. Americans are already wary of AI, with a recent Pew Research Center survey finding that 52% are more concerned than excited about the technology's growing role in daily life, up from 37% in 2021; only 9% are more excited than concerned.

Nonetheless, AI companies appear to be following in social media's footsteps. Rather than become more transparent, they are seeking privileged access to a small circle of officials and negotiating policies behind closed doors. Rather than defend open competition, they are racing to control computing power, data, and distribution channels before rivals can catch up, blurring the line between first-mover advantage and monopolistic or oligopolistic behavior. And rather than trust democratic processes, their executives and investors are now spending heavily to defeat politicians who might regulate them. Despite proclaiming that they stand for democratic AI against China's autocratic model, they seem increasingly willing to bargain directly with political leaders rather than submit to rules established through open institutions.

By seeking privileged access, suppressing competition, and purchasing influence to avoid accepting democratic constraints, the industry is making itself both unpopular and politically dependent. That means it could win deregulation today only to discover that it has surrendered its autonomy to whichever administration controls access to energy, chips, government contracts, export licenses, and antitrust enforcement tomorrow. An administration that can decide which companies receive those benefits can also punish those that fall out of favor.

Companies that resist ordinary democratic oversight risk inviting unpredictability: direct political control by the government of the day. Democratic accountability, the rule of law, and open competition are not costs to be avoided in the name of "winning." They are what will make American AI more trusted, more resilient, and ultimately stronger than China's offerings. American AI companies' time to choose wisely is running out.

22. How Developing Countries Can Do More With Less

Author: Takunda Chirau **Published:** Sep 4, 2026 **Link:** [View Original](#)

JOHANNESBURG—As donor governments slash aid budgets, and multilateral institutions come under increasing financial strain, development organizations must confront the combination of growing need and declining resources. How to address persistent challenges such as poverty and inequality, climate change, and humanitarian crises with fewer resources is an especially urgent question in Africa, where many countries have long relied on external financing to support essential programs and services.

The answer lies in how development is monitored and evaluated, often framed as a neutral, technical exercise measuring whether projects have achieved their objectives. In fact, evaluation is deeply political: it reflects what is seen as important and whose knowledge is trusted, and it influences which programs continue to receive funding. Thus, evaluation determines how resources are allocated and whose solutions are supported and expanded.

More significantly, the standards by which development projects are assessed are important not only for deciding where to channel limited resources, but also for shaping the future of global development governance. The African Union and its member states have long called for reforms to the international development and financial architecture, advocating greater representation, more equitable financing, and a stronger voice for Africa in global decision-making. But these reforms, while important, often overlook another powerful driver of change: control over knowledge and evidence.

To date, evaluation frameworks have largely been influenced by donor priorities, with the aim of tracking and comparing results across contexts. As a result, they often fail to capture the realities within communities and rarely reflect local values. When funders define success, the communities most affected by development programs are treated as sources of data rather than partners in deciding what constitutes meaningful change and how to measure it. As argued in the volume *Equitable Evaluation: Voices from the Global South* (which two of us co-edited), donors' expectations and desired outputs take precedence over those of local communities.

With fewer resources now available, and their allocation increasingly dependent on evidence demonstrating impact, there is no better time to implement equitable evaluation practices, which challenge the idea that development can be understood through universal indicators alone. This methodological innovation is grounded in the belief that evidence is shaped by history, context, culture, and power, and that these factors must be considered if evaluation is to advance equity.

African countries and communities, in particular, could adopt Made in Africa Evaluation approaches, which seek to assess development projects according to African realities, values, and priorities. That means recognizing Indigenous knowledge, local institutions, and community experiences as important sources of evidence, while emphasizing that evaluation should reflect the social, cultural, and political contexts in which development takes place. Such a shift ultimately reshapes who holds authority over knowledge itself.

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Community participation forces governments to be accountable to citizens, not just funders. For example, when rural health committees monitor clinic performance using community-designed scorecards rather than relying on donor audits, facility managers can identify and respond more quickly to drug shortages, long wait times, or service gaps, while health authorities gain access to locally generated evidence.

Similarly, when farmers help assess irrigation projects, evaluations have revealed practical constraints—such as unreliable water supplies, inadequate maintenance, and inequitable land distribution—that may be overlooked by externally designed indicators. These data can also inform national priorities, resulting in more responsive and efficient development spending. And if regional institutions build their own evaluation capacities, countries will become less dependent on frameworks that may not reflect their development goals.

As such examples show, giving African countries a greater say in international institutions is not enough to reform global development governance. Structural transformation requires giving them a greater role in the collection, interpretation, and use of data and evidence. Without significant changes to evaluation and the resulting knowledge production, calls to “decolonize development” will continue to ring hollow.

The current aid landscape underscores the urgency of this task. The scaling down of foreign assistance should not mean abandoning commitments to equity. Governments, donors, and development organizations should instead work even harder to direct the remaining funds to those who have historically been excluded. This requires evaluation systems capable of revealing inequalities rather than masking them behind national averages and aggregate performance indicators.

It is unclear whether the era of abundant foreign aid is ending or experiencing a temporary crisis. Either way, this moment has created an opening to rethink development cooperation and foster more trust in how these resources are used. In Africa, that can be achieved by ensuring that evaluation practices capture communities’ lived realities and allow success to be defined collaboratively rather than imposed externally.

23. Kevin Warsh's Best Move Is to Do Nothing

Author: James K. Galbraith **Published:** Sep 7, 2026 **Link:** [View Original](#)

TOWNSHEND, VERMONT—In his remarks to this year's gathering of central bankers in Jackson Hole, Wyoming, US Federal Reserve Chair Kevin Warsh called for the Fed to "receive the full range of ideas" on monetary policy in order to "construct more reliable models." Apparently, and to his credit, he recognizes that the current models, rooted in mainstream economics, are not very good. He also rightly acknowledged the Fed's dual goals, set by law, of full employment and price stability, though he erred in describing the 2% inflation target as part of "our mandate." (In fact, it is only an internal goal.)

Warsh's hard line on inflation runs up against a key weakness in his models. His remarks treat AI as "a new factor of production" that introduces the "potential for substantially higher growth" and a "sustained rise in productivity." This description reflects the standard textbook "production function"—which tracks the interaction of capital and labor—under which advancing technology always enhances economic growth. But the textbook model is categorically wrong.

Technology is a force of creative destruction, and destruction destroys. New technologies drive older technologies to the wall, rendering the functions served by previously scarce and valuable goods so abundant and cheap that they fade from the economy—and from the data. Anyone old enough to remember the expensive communications junk of the analog age knows this well.

Back when cars, trucks, roads, oil fields, refineries, gas stations, and repair shops displaced grass-fed horses and coal-fed trains, technology also worked (with government help) to bring new economic activity into being, inaugurating the automotive and electrical age. But information and AI tend to erase market activity by making communications and analysis fast and cheap, and it is not yet clear what (if anything) comes in their place. The creative destruction they have unleashed is also transnational. Warsh did not mention the risk that superior Chinese AI models may one day pose to American ones; that inconvenient prospect cannot be framed in terms of "production functions."

With products whose prices have collapsed disappearing from the economic data, the inflation rate reflects the price of what remains in the index. For most people, the basket is constantly shifting toward essentials like food, fuel, rent, and health care, all of which are becoming more expensive. Nobody feels rich by dint of e-postage being free; our budgets are reallocated to cover those things we still have to pay for. The inflation rate we experience is not driven by wages (whose growth has been "moderate," as Warsh said), but by profits, by AI driving up the cost of electricity, and by US President Donald Trump, who seems determined to wreck the oil trade. These forces do not respond directly to rising interest rates.

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On interest rates, Warsh dispelled a lot of nonsense with splendid candor: "We determine the path of short-term interest rates." A brass plaque with those words should be sent to all the Washington think tanks and lobby groups that exist to prattle on about the federal budget deficit. The short-term interest rate is always exactly what the Fed wants it to be, and in setting short-term rates, the Fed is also the driving force behind long-term rates. When the Fed keeps short rates low for a long time, long rates follow the short rates down. The recent rise in long-term rates—what has been called a global "bond rout"—mainly reflects an expectation that short rates will be raised. It's not complicated; all other factors are secondary.

But higher interest rates cannot "cure" today's inflation—not even by causing a slump. In 1981, the Fed raised interest rates to 20% and manufacturing employment, investment, unions, wages, and household purchasing power collapsed, the

dollar soared, and imports became cheaper. Today, manufacturing is much smaller, unions are already feeble, many consumer goods are made abroad, and the dollar has been weakening. If housing construction falls, as it may do, rental rates will rise.

Crucially, the federal debt is about four times larger, relative to GDP, than in the early 1980s. Raising rates now would pump money into financial assets and into economic activity, most of which is services. When former Fed Chair Jerome Powell raised the federal funds rate by more than 500 basis points, the stock market boomed, the economy did not slow down, and there was no effect on inflation.

Short-term interest rates are the Fed's only weapon, but it has jammed, and Warsh cannot get it working again. Stuck on mainstream models, he has committed himself, and his reputation, to a goal he cannot achieve. Reining in inflation would require different measures—including peace with Iran, detente with China and Russia, and strategic controls over prices and profits—that are not within the Fed's power.

So, what should Warsh do? He cannot cut interest rates, because Trump has foreclosed that possibility merely by wanting it to happen. That leaves only one proper course of action: Do nothing. Wait and see. Warsh should show spine by resisting pressure from every angle, and spend his time seeking out the new ideas, sharp critiques, and original minds who might be able to pull the Fed out of its ideological rut.

24. Will Europe Be as Unprepared as Ukraine Was?

Author: Tatyana Deryugina Published: Sep 7, 2026 Link: [View Original](#)

URBANA/BERKELEY/KYIV—Twelve years ago, Ukraine was sleepwalking toward catastrophe. Now Europe is.

Before 2014, Ukraine's military had been hollowed out by decades of neglect and disarmament. That was a choice. Why spend scarce resources on defense when the 1994 Budapest Memorandum offered security assurances in exchange for Ukraine surrendering its nuclear arsenal? Why prepare for a conflict that the prevailing intellectual consensus said could never happen? Liberal democracy had triumphed, great-power conflict was a relic, and the arc of progress bent toward peace, liberalization, and economic convergence.

Worse, Ukraine allowed Russia to penetrate its information space, promote pro-Kremlin narratives, cultivate political allies, and meddle in Ukraine's elections. Under President Viktor Yanukovich, a former Russian citizen served as minister of defense. The army was sabotaged from within.

Ukraine should have known better. The warning signs were there. Russia had invaded Georgia in 2008, demonstrating that it was prepared to use military force to prevent another former Soviet republic from escaping its orbit. Putin was already questioning whether Ukraine was a real country, describing parts of its territory as a "gift" from Russia. He publicly described Russians and Ukrainians as "one people," and used energy and trade to gain political leverage. Yet the belief that Russia would go no further prevented decisive action.

Then, in February and March 2014, Russia annexed Crimea without firing a shot because there was barely anyone to fire back (and those who might have helped urged Ukraine to stand down). Shortly afterwards, Russia occupied parts of the Donbas. This time, Ukraine fought back, but from a position of profound weakness against a stronger and better-prepared adversary.

Ukraine struggled to reach a consensus about what had happened and what must be done. While some called for mobilization, many believed that the war was local and confined to a strip of territory in the east and a distant peninsula. The worst was over, they claimed: Putin had taken what he wanted.

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It followed that compromises, even if painful, could buy peace. Surely, the right leader could sit across the table from Putin and negotiate an end to the bloodshed. The election of Volodymyr Zelensky in 2019 partly reflected this yearning. Zelensky spoke of ending the war in Donbas, of talking directly to Russia, and of finding common ground. Many Ukrainians wanted to believe that the problem could be talked away. Instead, on February 24, 2022, Russia launched a full-scale invasion, targeting Kyiv and seeking to decapitate the Ukrainian state. The war that was supposed to be local became existential.

Europe's resemblance to Ukraine's trajectory is striking. The comparison is not exact: Europe is richer, more institutionally resilient, and still largely sheltered by NATO, at least in principle. But the similarity in habits of thought and action is close enough to be deeply troubling, as Germany's pathetic reaction to a failed Russian drone attack at Leipzig airport amply demonstrates.

After decades of peace, Europe has systematically dismantled its defense capabilities. NATO's guideline of spending 2% of GDP on defense had, until recently, been treated as a ceiling rather than a floor. For decades, Italy and Spain hovered

around 1.5%. Belgium and others trailed even further behind. Germany allowed the Bundeswehr to deteriorate to the point where soldiers trained with broomsticks instead of rifles and major weapons systems had readiness rates below 50%. Europeans' willingness to strengthen their defenses via public-spending cuts or peacekeeping deployments in Ukraine is shockingly low.

The mindset behind this neglect is familiar from Ukraine before 2014. Big wars cannot happen: we have the European Union, NATO, and nuclear deterrence. The United States will handle security. Defense spending is wasteful. Diplomacy and economic interdependence will keep the peace. Russia would never attack a major trading partner.

Those assumptions have collapsed. The US has signaled with increasing bluntness that the era of American security guarantees without European burden-sharing is over. President Donald Trump's administration openly questions the value of NATO. Nuclear weapons do not deter subthreshold aggression (like drone and cyberattacks) or the use of coercion and subversion to erode sovereignty. What is striking in much of Europe is not just pacifism or poor readiness, but the lingering sense that even now the old rules will somehow reassert themselves.

Europe is now facing its own warning signs. Russia is already waging what NATO calls a campaign of sabotage, cyberattacks, electronic interference, disinformation, and political influence across the continent. Russian drones and aircraft increasingly violate NATO airspace, while suspicious incidents around undersea cables and other infrastructure have forced NATO to strengthen their protection.

These provocations are deliberately below the threshold of war. That ambiguity enables Russia to probe European defenses, test political resolve, and learn how much provocation the West will tolerate before responding. And, like Ukraine before 2014, Europe keeps finding reasons not to act.

Across Europe, support for rearmament and for Ukraine remains politically contested. In Italy and Spain, voters resist higher defense spending. In France and Germany, influential voices frame urgency as overreaction (the far-right Alternative for Germany, which is likely to take power in Saxony-Anhalt, calls for a deal with Russia). In Slovakia, leaders have openly favored accommodation with the Kremlin.

Russia finances political parties, penetrates cultural institutions, and promotes disinformation throughout Europe. Across the continent, many argue that the war in Ukraine can be ended through negotiation if only Ukraine's leaders would be more "realistic" about territorial concessions.

Winston Churchill's verdict on the catastrophic 1938 Munich Agreement is as relevant as ever: "You were given the choice between war and dishonor. You chose dishonor, and you will have war." Europe in 2026 can invest seriously in its own defense, accept the costs and trade-offs involved, and build credible deterrence. Or it can continue to underspend, hope that diplomacy alone will suffice, assume that US protection will always be available, and tell itself that the war in Ukraine is a local affair.

But the price of appeasement is never paid by the politicians who choose expedience over vigilance. It is soldiers and civilians who bear the consequences. Europe still has time—provided by Ukraine, at extraordinary cost. The challenge is not merely to spend more, but to think differently: to accept that deterrence is not alarmism, preparedness is not provocation, and strength is often the precondition for peace.

25. The Digital Wellness Industry Is Hijacking Women's Health

Author: Danielle Keats Citron

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CHARLOTTESVILLE—Apple's health app has a new feature that can allegedly detect whether a woman is in perimenopause. The app notifies a user of her new health status, and a chatbot is available to provide more information. The bot asks: "Are you feeling tired and uninterested in sex?" "Having night sweats?" "Are you always itchy?" After answering "yes" to all three, the bot confirms that she may be experiencing early signs of perimenopause and potentially low testosterone or estrogen.

Here is what happens next: in her browser, the woman sees advertisements for supplements, creams, and other "solutions" to hormonal problems. Posts in her Instagram feed suddenly say, "Looking to start [hormone replacement therapy]? If you've been told your symptoms are just aging or bounced from doctor to doctor—we get it. Real relief is possible ... Talk to one of our expert clinicians." Influencers, who appear to be in their mid-30s, crowd her feed to recommend wellness supplements.

The ads and posts claim that the woman's symptoms indicate a medical problem, despite the absence of evidence that they do: she has not had sex with her partner for several years, she is hot because it's a heatwave, and her skin gets itchy every summer. None of that matters. She orders the supplements and contacts an online provider whose remote doctors instantly prescribe hormones like testosterone, estrogen, and progesterone (in patches or pills) without physically seeing her.

Here is what doesn't happen: The woman does not talk to her long-time physician, who knows her medical history (blood clots, migraines, and a family history of strokes), prescriptions (antidepressants), workout regimen (none), and personal situation (disintegrating marriage).

Meaningfully addressing the real phenomena of perimenopause and menopause requires a comprehensive clinical review of a patient's medical and personal history, and doctors want to provide that kind of care. But patients are not getting it, because a sprawling digital ecosystem of health startups, influencers, and advertisers increasingly gets in the way.

This ecosystem is driving a menopause gold rush, turning women's health into a lucrative business. Instead of clinical diagnoses, health apps flood them with marketing pitches from wellness companies that raise hundreds of millions of dollars in venture capital and, in some cases, may have billion-dollar valuations.

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The digital wellness industry does not care about women's well-being. Its business model is built on wonky inferences drawn from noisy data, algorithmic predictions, and violations of intimate privacy. Advertisers and marketers buy dossiers from data brokers that categorize women as "affluent mature women health and wellness," "midlife transition focused," and "Gen X supplement buyers."

By mining data-broker dossiers and women's search history, emails, web browsing, social media posts, and geolocation data, advertisers and marketers can predict that targeting women at certain times on certain days is more likely to yield purchases. For example, advertisers know that women feel less than fabulous about themselves early on Monday

mornings. As OB-GYN Nanette Santoro explains, the marketing of menopause-related supplements to women “has gotten very, very aggressive,” even though many of the claims made by supplement providers are not backed by science.

Above all, perimenopause and menopause are a growth market. In February, a popular menopause-focused telehealth company was valued at \$1 billion. Predictions generated by self-tracking apps have thus become a purchase funnel for a market projected to reach \$28.8 billion by 2033.

Meanwhile, patients’ prediction-influenced decisions create difficulties for doctors, who must deal with the fallout. They now treat grave medical problems resulting from ill-advised supplements and hormonal treatments, including complications requiring surgery, and try to educate patients about clinically proven and medically appropriate approaches to perimenopause and menopause.

Doctors want patients to feel heard and understood. They want to provide gold-standard care and earn their patients’ trust and confidence. Yet now doctors must also explain to their patients that they have been played and manipulated into paying for expensive medicines and supplements that are not right for them given their health, family history, and prescriptions. They have to help patients understand that those pricey supplements may not be supported by science and are fueling someone’s bottom line but not serving their own.

The impact of digital manipulation on women’s autonomy, privacy, and health is far-reaching. The prediction- and ad-driven digital-health ecosystem has hijacked women’s and doctors’ attention and time. It has also changed the way women see themselves: as people whose hormones and bodies are broken and need to be fixed with supplements that are useless or, worse, harmful.

By restructuring clinical encounters, app-based predictions and online ads have undermined women’s agency and self-esteem and corroded intimate privacy, with severe effects on health outcomes. Expert discretion has shifted from clinical judgment to adjudicating machine-derived predictions based on noisy data.

There is no easy solution to this problem, but lawmakers and regulators can take meaningful actions. In the United States, Congress should ban the use and sale of intimate information and sharply curtail data brokers. The Federal Trade Commission and Food and Drug Administration could crack down on unfair and deceptive advertising by online advertisers and supplement companies. The United Kingdom has already moved in the right direction by banning several misleading ads.

In the meantime, users should exercise caution when interpreting the health notifications they receive on their phones. They should always, as advertisements and app prompts suggest, “talk to a doctor.”

Women’s midlife health has been under-researched and dismissed for decades. Tracking tools can give women the data and language that they have long been denied without funneling them into manipulative advertising schemes. Being seen and heard should not mean being segmented and monetized.

26. The Case for a Cashflow Tax

Author: Glenn Hubbard

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NEW YORK—After the US midterm election this November, Congress’s economic-policy focus will likely turn to growth, AI’s impact on the economy, and deficit concerns. Lawmakers therefore should recognize that one policy tool can help to address all three: a cashflow tax.

Attention to these issues is warranted. Because higher productivity is what boosts incomes, investment and growth remain the core drivers of rising living standards. Yet concerns over labor’s shrinking share of GDP relative to capital—a problem that could be magnified by developments in generative AI—have ignited debates about profit and wealth taxation. At the same time, growing alarm over the unsustainability of the US fiscal position puts a premium on efficient ways of raising additional revenue.

That is where the cashflow tax comes in. Many economists (including me) have long championed the economic benefits of moving the tax system further toward a consumption tax. Relative to the current income tax, a broad-based consumption tax would raise saving and investment, leading to higher productivity and incomes.

Though the term “consumption tax” may call to mind a European credit-invoice value-added tax (VAT), the United States could implement such a policy in a simpler fashion by targeting accounts currently maintained for taxation. After all, a consumption tax at a given rate is arithmetically identical to the combination of a wage tax and a business cashflow tax at the same rate. As a tax on a firm’s revenue minus expenses, a cashflow tax would allow businesses to expense investment immediately, boosting outlays.

Such a shift would expand on reforms enacted in 2017 and 2025. It would also disallow nonfinancial companies from making interest deductions, because in contrast to an income tax, a cashflow tax treats debt and equity the same. It therefore eliminates an important tax incentive for firms to allow themselves to become leveraged. Finally, a cashflow tax is much simpler than a corporate-income tax, which requires complex depreciation schedules.

Cashflow taxation shifts the tax burden toward high rates of profit, which is useful in an environment of rising profit concentration in firms. This benefit arises because the cashflow tax removes taxes on what economists call the “normal return” on investment (or the cost of capital). Companies would instead be taxed only on profits above this amount, reflecting economic rents. Moreover, given that most large individual fortunes reflect economic rents in business ownership, a cashflow tax would be more effective than a wealth tax, which suffers from many complications relating to measurement, liquidity, and incentives.

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Because a cashflow tax creates fewer distortions of saving and investment than the income tax, it is also a more efficient instrument for raising incremental revenue in any future fiscal consolidation. While the bulk of fiscal adjustment will require reductions in the growth of federal spending, higher revenue would almost surely be part of any politically viable package.

Moreover, additional revenue could be raised if Congress incorporated a border adjustment in the new cashflow tax. Doing so would deny companies a tax deduction for expenses abroad, while exempting US exports from taxation. Other countries already use border adjustments in their VATs on consumption, and America uses a similar mechanism in state and local retail taxes. If you buy a kitchen appliance in New York, you pay New York sales tax even if it was made in

Ohio. The sales tax applies only where the good is sold, not where it originates. Because the US imports more than it exports, the border adjustment would raise revenue, remove tax incentives for US firms to locate activities abroad, and strengthen the incentives for non-US firms to locate activities in America.

To be sure, while a cashflow tax promises to promote economic growth, tax high profits, and raise incremental revenue efficiently, it does raise concerns about complexity and tax fairness. But these issues can be straightforwardly addressed.

Consider the possible concerns over tax complexity. The cashflow tax would use basic company accounts already used in the income tax, avoiding any new fundamental tax design or introduction of a European-styled VAT. It also would offer simplification within the income tax code by substituting permanent expensing of capital goods for more complicated and less generous depreciation allowances.

Yes, the combination of a wage tax and a cashflow tax at the same rate replicates a broad-based consumption tax, but without the progressivity of the current income tax, raising potential concerns about fairness. But this issue is also easily tackled. A graduated tax structure could be introduced along the lines of the “X-tax” that Princeton University economist David Bradford developed 40 years ago. Here, the individual wage tax would have graduated rates with a credit for low-wage individuals, and the business cashflow tax rate would be set as the highest individual tax rate. Or, as Treasury Secretary Nicholas F. Brady suggested in 1992, an alternative version would tax all income, including capital income, for very high-income individual taxpayers.

With elections looming, economic policies to promote growth, address structural changes in income and wealth inequality, and tackle ballooning budget deficits will be intensely debated. Building on recent tax changes to implement a cashflow tax offers the most promising path forward on all three issues.

27. Who Controls the Data Controls the Future

Author: Bijan Burnard **Published:** Sep 7, 2026 **Link:** [View Original](#)

SAN FRANCISCO—In March, Iranian drones targeted three Amazon Web Services facilities in Bahrain and the United Arab Emirates, hitting two directly and nearly hitting the third. It was the first time a commercial data center had been a military target, yet almost nobody outside specialist circles noticed. They should have. The servers holding a country's data, and the chips running the AI models on which its economy increasingly leans, are no longer background infrastructure. They are as strategic as ports or power grids—and just as exposed.

For most of the last decade, data was something companies mined, and AI was something companies sold—both regulated at the margins through privacy law, if they were regulated at all. This framing no longer works. AI now sits inside finance, defense, health care, and public administration, and it runs on two things most governments do not actually control: the data that train it and the compute that processes it. Countries that ignore this will find their futures being decided in boardrooms where they have no seat.

Many governments have taken note. Global spending on “sovereign AI” will reportedly surpass \$100 billion this year. Over the last several months, Canada, France, Saudi Arabia, and the United Arab Emirates have rolled out national compute funds and GPU allocations. The European Union has gone further, treating sovereign AI infrastructure almost as doctrine, which has meant backing Gaia-X to build out European data infrastructure and financing projects like Mistral AI's new data center outside Paris.

On paper, this looks like sensible diversification away from a handful of American and Chinese firms. In practice, it risks creating something more brittle: a patchwork of national fortresses, each self-sufficient and none capable of talking to the others. Part of the problem is that “AI sovereignty” encompasses at least three things, and most governments are only working on one.

Data residency—keeping citizens' data within national borders—is the oldest of the three, the easiest to legislate, and the one most policy actually addresses. Compute sovereignty—who owns the chips and data centers doing the processing—is more difficult: a country can wall off its data, but it loses control if those data are processed on infrastructure someone else owns. Governance sovereignty—the ability to set the rules AI systems have to follow, rather than importing whatever standard the country hosting the dominant developers happens to set—is the one almost nobody talks about.

A fragmented regulatory landscape doesn't help any of this. Roughly 90 countries now have some kind of national AI strategy; at least 33 have passed binding legislation. But the approaches often clash. The EU's AI Act, whose main provisions became applicable last month, carries penalties of up to €35 million (\$40.6 million) or 7% of the offender's total global annual turnover. The United States' AI Action Plan takes the opposite approach, treating deregulation itself as a competitive edge. China's Global AI Governance Action Plan offers cooperation on AI governance with developing economies, but on Chinese terms.

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The Council of Europe's Framework Convention on AI—the first binding international AI treaty—represents real progress, but its enforcement is modest next to the scale of what it's meant to govern. Coordination beyond that has barely started. The UN's Independent International Scientific Panel on AI has warned of a “race to the bottom,” with jurisdictions competing to offer the most permissive rules rather than the safest ones. Companies running high-risk AI deployments are already shopping for the softest jurisdiction.

Genuine AI sovereignty requires four things, none of which is complicated in concept. Start by putting AI data infrastructure in the same legal category as power grids, with someone clearly on the hook for physical and digital security.

Next, countries building sovereign compute need shared interoperability standards, not just national champions—Gaia-X's work on data portability is a useful template. A hospital in Lagos or a ministry in Warsaw ought to be able to verify that a system meets baseline safety requirements, regardless of whose infrastructure it's running on.

Oversight needs teeth: audit rights, mandatory incident reporting, and licensing for the handful of frontier models capable of touching critical infrastructure or financial stability. These models should be treated more like nuclear material than ordinary software.

The world also needs a real mechanism to stop AI sovereignty from turning into just another axis of inequality. That \$100 billion investment in sovereign compute is happening almost entirely in rich countries. Pooled regional compute, financed and governed jointly by smaller countries, would deliver better results than each of them trying to go it alone.

None of this requires a grand global treaty. The components of a governance framework—including the EU AI Act, the Council of Europe convention, Gaia-X, and the UN's scientific panel—already exist. The scaffolding connecting them is missing, though, and building that takes deliberate work. Every year it is delayed, the infrastructure gets bigger and harder to reconfigure. Nobody pouring billions of dollars into data centers and GPUs is waiting around for governance to catch up.

The strikes on those AWS facilities in the Gulf sent a message (whether or not anyone intended it): The infrastructure underpinning a growing share of consequential decisions—who gets a loan, which patients get flagged for treatment, which factories keep running—sits in buildings most governments do not control and cannot fully protect. Data sovereignty, compute sovereignty, and governance sovereignty are not conference-room abstractions. They are the precondition for a future shaped by countries' own citizens—not whoever happens to own the servers.

28. The AI Race Could Sink US-China Détente

Author: Ian Bremmer **Published:** Sep 8, 2026 **Link:** [View Original](#)

NEW YORK—Just three months after US President Donald Trump returned to the White House in 2025, he launched a new trade war with China. It didn't go well. Immediately after he announced a 34% duty on all Chinese imports, China signaled that it was ready to play hardball with a matching 34% tariff on all US goods and immediate export controls on seven rare-earth elements and the rare-earth magnets used in many 21st-century consumer products and military technologies.

After another quick round of back-and-forth retaliation, Trump backed down, and the two sides met in Geneva to declare a truce. Six months later, that truce was extended, and it remains in force today as Trump and President Xi Jinping prepare for their summit later this month.

Both sides have (for now) recognized that confrontation would badly damage both economies. Pragmatism became the new rule for the world's most important bilateral relationship. US and Chinese officials have since looked for and found ways to work together more constructively on trade and investment, as well as engaging in more frequent, higher-level military-to-military communications. To keep relations on track, the Trump administration has delayed new defense packages for Taiwan, allowed restrictions on commerce with Hong Kong to lapse, and scaled back the periodic US naval patrols that are meant to assert freedom of navigation in the South China Sea.

The big question for a world now plagued by two major wars and another barrage of Trump-generated trade conflicts is how long these US-Chinese guardrails will hold. On a positive note, the current détente depends on a balance of coercive leverage that should last, in most areas, for at least the next several years.

The US will continue to reduce its direct reliance on Chinese goods imports, but it will remain vulnerable to China's control over processed critical minerals and intermediate goods. China will continue to reduce its foreign dependencies and redirect exports toward the Global South, but it will still be vulnerable to US financial sanctions and some technology export controls.

To be sure, the US and Chinese leadership won't suddenly decide to trust one another. Since neither is prepared to lower its guard, there are still many things that could go wrong. A major flare-up over US sanctions on Iran, Chinese support for Russia, or a miscalculation over Taiwan could raise pressure in both capitals for a more confrontational approach. But as long as the US and China continue to read the balance of leverage correctly and avoid domestic pressure for escalation, the occasional diplomatic, trade, or security skirmish can remain contained in the interest of stability.

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There is a dangerous wildcard, though. AI and the lack of international governance over its development and use are already creating risks, within both the US and China and around the world. And given that the US and China now lead in AI innovation by some distance, competition between the two in this sector poses the biggest threat to their currently constructive relations.

This race is now marked by both fast-advancing Chinese capabilities and the sudden rise of new national-security risks for both countries. China's decision to focus on inexpensive, open-source models will make AI at scale accessible to consumers and industrial users in the West and across the Global South. But the US intelligence and defense community will not welcome such competitive pressure (and data collection). Moreover, Chinese models bring some of the same

cyber and biotech risks as their American counterparts; but unlike Anthropic or OpenAI, Chinese companies won't respond to US government concerns and demands.

That is why the US will respond in the coming months with significant restrictions on Chinese access to US models and limits on US access to Chinese open-weight models. Trump will also try to use US political leverage to pressure other countries to adopt American, rather than Chinese, AI. If the US and China fail to manage this struggle, we can expect a sharp acceleration in the decoupling of advanced technologies between the two countries.

We are already seeing this trend in other areas. In July, the US banned the import of foreign-made humanoid robots—a move obviously aimed at China, which has a substantial technological and pricing lead over its American competitors. Trump has also now imposed up to 100% tariffs on drones, targeting Chinese-made models, in particular, on national-security grounds.

In short, the Sino-American AI arms race is already well underway. The question now is whether Trump and Xi can use their White House summit this month to lay the groundwork for an ongoing AI dialogue designed to avoid a future of accelerating, opaque, and potentially zero-sum conflict.

If they fail, the two sides may feel that confrontation has become inevitable, and not just regarding AI. It is not hard to imagine a renewed trade conflict and heightened security tensions quickly bringing down the guardrails the two sides have built over the past 16 months. The AI race makes such an outcome all the more difficult to avoid.

29. Unpaid Work in the AI Age

Author: Diane Coyle **Published:** Sep 8, 2026 **Link:** [View Original](#)

CAMBRIDGE—Discussions about how AI might disrupt the economy have a blind spot: they largely fail to account for the valuable activities people do outside of paid work. Statisticians call such activities “household production,” but they collect very little data about them. The American Time Use Survey (ATUS) is conducted annually in the United States, but its scale is small, and most OECD countries collect such information less frequently. As a result, there is very little economic research, and next to no policy debate, on how most of us spend most of our time.

But investors and policymakers should care about unpaid activities. When social or technological shifts move activity across the production boundary—from paid to unpaid or vice versa—our interpretation of economic signals must also change. In the 1970s and 1980s, official GDP- and productivity-growth figures rose in countries like the United Kingdom and the US partly because changing social conventions were causing more married women to spend more of their time doing paid work.

Digital technology has already led to major shifts across this production boundary, mainly from paid to unpaid. People now use digital tools to handle a wide range of tasks, from banking to travel planning, that once required consultation with a professional, not to mention ringing up their own groceries at the supermarket checkout. Meanwhile, many people share their output—open-source software, entertaining videos, music lessons, or DIY tutorials—online for free.

All of these examples represent the substitution of unpaid for paid work. And, for the most part, they have created a good deal of consumer value. With AI promising to move yet more activity across the production boundary, the question is how to ensure that this, too, will prove valuable for households.

Answering this question will require us, first, to get a sense of where people find AI most useful outside paid work. Google’s ATLAS project (on which I was an adviser) provides some early insights. It mapped millions of anonymized Gemini interactions to the task categories used by the ATUS and contrasted the volume of US users’ AI conversations related to each category against the actual hours people dedicate to it.

By this metric, topics like “Eating and Drinking” and “Traveling” were significantly underrepresented in AI interactions, compared to actual time spent. Interactions relating to “Socializing, Relaxing, & Leisure”—the category where overall AI usage is the highest—were relatively close to parity with actual time spent.

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“Education,” however, was overrepresented, with its share of AI interactions about 5.8 times larger than its share of people’s time. “Professional & Personal Care Services” and “Consumer Purchases” were also over-indexed. But nothing compared to the overrepresentation of “Government Services & Civic Obligations,” which appeared nearly 20 times more often in the AI interactions than in official time-use data.

In her new book *The Time Tax*, Annie Lowrey points out that, in the US, people spend six working days per year, on average, dealing with government bureaucracy, completing tasks like renewing licenses, filing taxes, and applying for assistance. Private-sector administration, from negotiating with insurers to canceling subscriptions, compounds this time tax.

There is good reason to think that AI can help to reduce this burden. Good government digital services already offer efficiency and convenience: I recently watched a friend apply for a passport online in just a couple of minutes. New York City Mayor Zohran Mamdani’s “click-to-cancel” rule shows how policy can also ease the burden of private-sector administration.

Governments should seek to leverage AI to advance progress on both fronts. Unfortunately, while many governments are keen to use AI to make public bureaucracies more efficient, they have so far tended to focus on cost savings for the state, not time savings for citizens.

Even without government action, the use of AI tools can save people both time and money. A high-street lawyer in the UK might charge a client £12,000 (\$16,220) to apply for probate and administer their deceased parent’s estate, but LLMs are increasingly capable of completing much of the paperwork involved for free. Other examples of household administrative tasks that might be tackled using a chatbot, or even delegated to an AI agent, include designing interiors or gardens, researching consumer purchases, and queuing up for items like concert tickets. The list is long.

Just as digital technologies led to the disintermediation and re-intermediation of many services, generative AI models will disrupt a wide range of services. New law-tech startups might find themselves competing with free chatbots or agents, rather than with expensive traditional law firms. Similar dynamics will emerge in industries like education, health, finance, and entertainment.

This need not be entirely bad news for human service providers. Free AI access will expand the market for these types of services, in addition to substituting for expensive versions them. There will be growth in complementary products, too: If I can redesign my own dining room for free, maybe I will be more inclined to buy wallpaper, drapes, and new furniture.

Meanwhile, the productivity gains in unpaid work—which is economically valuable, despite being largely left out of official statistics—could be tremendous. Any economist attempting to predict how AI will reshape the economy, and any policymaker seeking to update consumer protections for the AI age, must account for the household side of the production boundary.

30. Are China's Rare Earths Really a Potent Weapon?

Author: Daniel Gros **Published:** Sep 8, 2026 **Link:** [View Original](#)

MILAN—Early last year, China's government introduced an export-licensing regime requiring exporters to obtain approval before shipping heavy rare-earth elements and permanent magnets, over which China has a near-monopoly, to foreign firms. China relaxed these export restrictions later in the year, after US President Donald Trump agreed to reduce tariffs and export restrictions. For many observers, the message seemed clear: China's rare-earths dominance amounts to a powerful source of geopolitical leverage, and the United States and Europe must do everything in their power to erode it.

But the numbers tell a more nuanced story. While China is a dominant supplier of rare earths to the European Union and the US, this is less true for rare-earth minerals than for permanent magnets, which are enhanced by small amounts of rare earths. And even for magnets, the EU and the US each import only about \$500 million–\$1 billion annually—a negligible fraction of either economy's total trade or GDP.

It is often argued that the volume of these imports is not the point. Because rare earths and permanent magnets are vital inputs to high-tech products, from electric vehicles to wind turbines, they have an outsize economic impact. A recent International Monetary Fund working paper calculates that the loss of 80% of rare-earth and magnet supplies would reduce US GDP by 1.5% (\$490 billion), German GDP by 2.1%, and Japanese GDP by 2.3%.

The European Central Bank estimates that the loss multiplier would be smaller: losing 50% of rare-earth supplies would reduce US GDP by around 0.2% (\$65 billion). But this still assumes that the damage caused by losing access to rare earths would be at least a hundred times larger than the value of the lost imports themselves.

There are much lower cost estimates. A US Geological Survey report puts the combined loss of all rare-earth supplies, including those incorporated in permanent magnets, at only \$15 billion—a miniscule fraction of US GDP. Past experience suggests that such conclusions are more realistic than the much higher estimates of the IMF and the ECB.

In July 2010, China suddenly cut export quotas for rare earths by 72% for the second half of the year, owing to various environmental and industrial-policy considerations. There is little reason to think that geopolitics was a factor in this decision, but a couple of months later, after a Chinese trawler collided with Japanese coast-guard boats in disputed waters near the Senkaku Islands, China's rare-earth export restrictions did cause Japan pain. Many observers thus cite this episode as an example of Chinese economic coercion.

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The motive might be disputed, but the impact was undeniable. Prices increased sharply, by up to a factor of ten in some cases, and some car producers faced disruptions. Then demand for rare earths fell, and prices began to decline from their peaks. By the time the restrictions were formally lifted more than four years later, prices had already fallen back to pre-restriction levels.

Despite the disruption, production held up, thanks to what one study calls “directed technological change”: a surge in the price of an essential input spurs producers to innovate, whether to increase the efficiency of the input or to find alternatives. As a result, the study estimates that real GDP losses outside China probably amounted to just 0.04–0.05% during the four and a half years the restrictions were in place, with negligible macroeconomic impact on Western

economies. The IMF's World Economic Outlooks during this period did not even mention rare-earth scarcity as an obstacle to growth.

Today, the impact of Chinese rare-earth export restrictions might be even smaller, because there are significantly more alternative supplies. Even if those supplies cannot fully replace Chinese exports, they can ensure that the highest-value uses are covered. Recent studies show that just a 10% loss in market share, from 95% to 85%, can substantially weaken a supplier's leverage.

The available evidence indicates that Chinese rare-earth export restrictions would cost the West far less than often feared. At the same time, it is impossible to estimate this cost precisely in advance. This is forcing prudence on both sides: Western leaders are pursuing a more restrained trade policy toward China, to mitigate the risks of retaliation, and Chinese policymakers are avoiding sharp curbs on rare-earth exports, for fear that such a policy's bite would prove less effective than its bark.

Geopolitical hawks on both sides might find this situation frustrating. But the rest of us should welcome it. Trade restrictions are always a negative-sum game.

31. Building a Resilient Nepal

Author: Gordon Brown

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EDINBURGH—When a torrent of water, rock, and mud tore through Nepal’s Himalayan mountain valleys on August 26, following the collapse of a glacier and the mountainside beneath it, more than 1,300 people were killed, and nearly 5,000 are still missing. Tens of thousands of other lives have been severely disrupted: Nepal’s economy has ground to a halt, and many schools were destroyed.

The disaster began when a huge section of glacier and rock fell more than 4,000 vertical feet into the valley below, causing water levels downriver to rise by as much as 30 feet (9.1 meters) in 30 minutes. Towns and villages across a wide swath of the country were washed away or swallowed by mud. At the Gyirong border crossing separating Tibet and Nepal, a five-story Chinese customs building was hit by a tsunami-like mudslide and essentially vanished.

It has long been predicted that fast-melting snow and ice in high mountain areas would result in more frequent floods and avalanches. Three years ago, a glacial lake burst in the northeastern Indian state of Sikkim, causing more than 50 deaths and significant infrastructure damage. A year later, a similar event destroyed Thame village in Nepal’s Mount Everest region. But the recent tragedy in Nepal is by far the worst incident yet.

A global response is urgently required. Aided by support from the United Kingdom and other countries, the Nepalese government swiftly dispatched emergency teams to locate survivors and recover bodies. But soon the work of rescue and recovery will end, and the work of rebuilding must begin.

If anything, the recent spate of floods, fires, and drought worldwide has underscored the need for coordinated cross-border action on climate change—particularly in vulnerable countries like Nepal. With severe flooding growing more frequent, and with landslides becoming more likely in the coming years, preventive action must be taken to protect villages and buildings. That includes better early-warning systems to prevent a repeat of the catastrophic damage we see now.

There is also the question of Nepal’s reliance on hydropower, the source of nearly all its electricity. Kulman Ghising, a former energy minister of Nepal who called the deluge a “once-in-a-century” event, has said that it holds lessons for the design and location of plants. Instead of placing them in the mountains, for example, Nepal could build reservoir-based plants. The country could also invest in solar energy, as its technical potential is around ten times larger than that of hydropower.

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More immediately, tens of thousands of displaced children face serious risks from unsafe water, malnutrition, trauma, and the lack of a safe place to shelter. According to UNICEF, at least 17,000 children urgently require humanitarian assistance. The United Nations estimates that more than 22,000 children will need protection, while around 2,600 children under the age of five will require treatment for severe wasting.

An estimated 20,000 homes will need to be rebuilt. But equally important is the imperative to reconstruct and reopen affected schools as quickly as possible. As relief organizations have found, the certainty of going to school—and the return to normality—eases the psychological distress faced by children in times of crisis. And getting young people back into education is instrumental to kick-starting the recovery process for whole communities.

Education Cannot Wait, the global fund dedicated to education in emergencies, is appealing for financing to support local and international partners in responding to the urgent needs in Nepal. “The immediate priority is to ensure that children continue learning. Every day out of school increases the risk of dropout, child labor, and early marriage,” ECW Director Maysa Jalbout told me.

Moreover, a team of British engineers at Strathclyde University has started an appeal for funds to help rebuild schools—and rebuild them stronger—in Nepal. Theirworld, a charity I helped establish to assist children in desperate conditions, will match every £1 raised by this initiative up to £50,000 (\$68,000).

The goal is to provide safe learning spaces, which will require repairing the physical damage to buildings. In the long term, Nepal will also need to reposition schools located close to dangerous riverbanks and ensure that all are earthquake-proof. After Japan’s 2011 Fukushima nuclear disaster, the Japanese government changed the building codes for schools and housing, and rethought the placement of critical infrastructure.

Nepal (and other vulnerable countries) must pursue a similar approach, recovering from this disaster while drawing lessons from it to prepare for and mitigate future ones.

32. The Trump Shock in East Asia

Author: Ian Buruma **Published:** Sep 8, 2026 **Link:** [View Original](#)

NEW YORK—On August 16, one day after the anniversary of Emperor Hirohito’s announcement of Imperial Japan’s unconditional surrender to the Allies in 1945, US President Donald Trump ordered the Pentagon to “substantially reduce” joint military exercises with South Korea. His reasons were odd, to say the least. He wrote on his Truth Social platform that the annual Ulchi Freedom Shield exercises “send a signal that is totally inappropriate and hostile, to a Country that, as long as Donald J. Trump has been President, has been unthreatening and respectful.”

That respectful and unthreatening country is none other than North Korea, which has been ramping up its nuclear capabilities since Trump’s ill-advised and fruitless meetings with North Korean dictator Kim Jong-un in 2019. Seven years later, Kim’s regime has been respectfully launching ballistic missiles over the Sea of Japan with some frequency.

By now, it is well known that Trump can change longstanding US foreign policy on a whim, depending on his mood or whether he feels sufficiently esteemed by a foreign leader. But this was apparently no whim: just over a week later, he canceled a joint amphibious landing drill with US and South Korean marines.

Trump claims that he is angry with South Korea for refusing to join his war on Iran—a conflict as reckless as it is counterproductive. Maybe he is. But there might be a deeper reason for his alarming behavior. Trump wants to be remembered as the greatest US president, the man who managed to establish world peace. Trump’s chosen path to reach that goal is to strike deals with dictators who might threaten the United States. Once the world is divided between big powers, America can exist in splendid isolation and will no longer be taken advantage of by smaller countries.

It is often said that Trump prefers dealing with autocrats like Kim and Russian President Vladimir Putin because he is envious of their grandiose trappings and unfettered power. While this is certainly possible, he may also believe that it is easier to make a deal with a tyrant than with a politician who must answer to voters.

Whatever the reason for Trump’s erratic policies, the canceled military exercises came as a shock to the South Koreans and have alarmed the Japanese. Ever since the end of World War II, US military guarantees have allowed European and East Asian democracies to thrive by deterring potentially hostile powers. Even though plenty of local wars erupted under Pax Americana, a world war became unthinkable. Historical wounds still caused friction between Japan and South Korea; but so long as Uncle Sam was in charge, such problems could be managed.

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Now that Trump has blown gaping holes into the postwar order by threatening to withhold help for NATO members and by weakening military cooperation with one of the most important US allies in East Asia, all the comforting assumptions of Pax Americana have gone out the window. The consequences of Trump’s behavior are even more serious for East Asia than they are for Europe.

Without a NATO equivalent, East and Southeast Asian countries must establish an entirely new set of military arrangements following the end of Pax Americana. Despite its robust Self-Defense Forces, Japan still depends on the US for its security, as does South Korea. And this is to say nothing of Taiwan. Meanwhile, China is striving to restore its status as Asia’s dominant power, and North Korea is threatening South Korea with nuclear war. China and North Korea are also drawing closer to Russia.

Efforts are already underway to counter possible Chinese belligerence with an Indo-Pacific defense alliance that includes the US, India, and Australia. But weaning Japan and South Korea off US military support will require Japanese leadership and close Japanese-South Korean cooperation.

Inevitably, Japan will have to reconsider its pacifist constitution, which currently bars Japanese forces from engaging in combat abroad. For South Korea, it will require setting aside historical resentments—including demands for more Japanese apologies—for the sake of mutual interests.

South Korean President Lee Jae-myung, a liberal, seems aware of this, judging by his attempts to cultivate warm relations with his conservative Japanese counterpart, Prime Minister Takaichi Sanae. The two leaders, quite unexpectedly, bashed out a K-pop tune on matching drum kits in January.

Lee and Takaichi are eyeing an acquisition and cross-servicing agreement, which would allow South Korea and Japan to share and procure military supplies and logistical support on a mutual basis. But unlike Kim Jong-un, Lee is a democrat who cannot bend his country's citizens to his will by force. After acknowledging the "practical need" for such an agreement, Lee immediately added, "if I say something like this, I'll get scolded," which is why he has publicly called for a "sincere" apology from Japan for its colonial rule of Korea.

Lee has no choice but to say this. His left-wing voters are accustomed to protesting against what they see as Japan's lack of remorse, and against the conservative Korean politicians whom they regard as the successors of the Korean elites who collaborated with Japanese colonial rulers. But Takaichi, as a conservative nationalist, must cater to her voters, too. That means minimizing the darker chapters of Japanese history. A Japanese socialist could apologize, but a right-wing leader of the Liberal Democratic Party finds it harder.

In the past, these tensions would have been insurmountable. Even with the US serving as a mediator between its East Asian allies and cajoling them to cooperate, the historic wounds remained. But Trump's cold shoulder and flirtations with Japan's and South Korea's enemies may finally achieve what friendlier US administrations failed to do.

33. Europe's Security Depends on a Clear Electrification Target

Author: Neil Makaroff

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PARIS—Ever since Russia's full-scale invasion of Ukraine in 2022, Europe has felt the strain of energy dependence. Between 2021 and 2025, the European Union spent more than €2.2 trillion (\$2.5 trillion) on imported fossil fuels. And the closure of the Strait of Hormuz earlier this year, following the US-Israeli war on Iran, has forced the EU to pay an extra €50 billion for energy imports. Volatile oil and gas markets affect everything from household bills to industrial costs and public finances.

The solution is straightforward: to protect European citizens and businesses, the EU must pursue rapid electrification. The bloc can produce green electricity domestically and at scale. Renewable power, electric vehicles (EVs), heat pumps, industrial electrification, and battery storage are all mature, readily deployable, and increasingly cost-competitive technologies. They offer not only long-term resilience, but also an exit from the current energy crisis.

National governments in some member states, such as France and Sweden, have already launched plans to accelerate this process, but there is a strong case for an EU-level strategy. The European Commission's new Electrification Action Plan is therefore an important political breakthrough. For the first time, it makes electrification an energy priority and proposes to double the share of electricity in the European economy to reach 46% in 2040. A 46% target is a good first step, but the EU has the potential to secure 50%. And in the EU's energy independence pathway, every percentage point matters.

Electrifying at least 50% of the European economy by 2040 would reduce fossil-fuel imports by as much as two-thirds, leaving the bloc importing liquefied natural gas only from reliable suppliers such as Norway and the United Kingdom. This would strengthen Europe's security by shielding it from supply disruptions and geopolitical pressures.

For European firms, electrification is synonymous with modernization and productivity, giving them an edge in a highly competitive global economy. While fossil-fuel volatility raises operating costs and can even force temporary production pauses, electrification offers more stability and affordability. True, it requires upfront investment in new processes and infrastructure, such as industrial heat pumps and electric furnaces. But the returns are worth it. Heat pumps, for example, are 3–4 times more efficient than their fossil-fuel counterparts.

The same logic applies to citizens. Purchasing an EV or a heat pump might be expensive, especially amid a cost-of-living crisis, but the benefits are almost immediate. Notably, the average driver can save almost €900 in fuel costs per year by switching to an EV. Equipping low- and middle-income households with clean-energy technologies can insulate them from the current price hike and future shocks.

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The EU has all it needs to accelerate electrification. Europe's clean-tech sector is scaling up to the point that it can meet the bloc's needs. More than two-thirds of the bloc's electricity is decarbonized, and about 85 gigawatts of solar and wind capacity were added last year. Embracing electrification has the added benefit of enhancing the EU's industrial base, from France's battery valley and industrial heat-pump makers in Italy and the Czech Republic, to Poland's burgeoning solar-manufacturing industry and offshore wind champions in Denmark and Spain.

All that is missing is the political commitment to shift spending away from imported fossil fuels toward cleantech. The Commission's Action Plan confirms a shift in the EU's energy paradigm away from the diversification of gas and oil supplies and toward electrification. But a plan, however comprehensive, can only succeed if followed by concrete legislative action. Markets respond to clarity, especially in capital-intensive sectors such as grids and electrotechnology manufacturing. And that is precisely why the next step can be to turn this political promise into a binding EU-wide target of at least 50% by 2040. It would provide credible direction for investment, infrastructure planning, and industrial strategy.

Here, the EU's Energy Security Framework offers a natural vehicle to give the target legal force, resolutely placing electrification as a central pillar of the future European energy security architecture. In doing so, it can allow the EU to adopt a long-term outlook, rather than focusing on short-term crisis management.

But a standalone binding target is not enough. The EU must pair it with enabling policies that can accelerate deployment across the economy and ensure that electricity is abundant and cheap for households and industries. The Electrification Action Plan offers a strong foundation for that. It addresses several barriers, including grid access, storage, industrial investment, the upfront costs faced by households, and the price gap between electricity and gas.

The Action Plan's accompanying proposal for rebalancing the tax differential between electricity and gas can make the former more abundant and affordable for households and industry. At a time when electricity is taxed more than fossil fuels, it can incentivize the rebalancing of national tax systems. Denmark has already adopted such reforms, lowering inflation and energy costs for consumers.

Equally important is the ability to mobilize public funds to help low- and middle-income households and small and medium-size businesses invest in electrification. Revenue from the EU's Emissions Trading System could be put toward equipping Europeans with cleantech or decarbonizing the bloc's industrial base. The EU can build on this foundation by applying an "electrification-first" principle systematically across its funding instruments and emissions-trading revenues. Such policies would translate the Action Plan's ambition into investment decisions and quick economic gains.

The politics around electrification are beginning to shift in the EU as more people recognize its importance for competitiveness, industrial resilience, and economic security. European policymakers must seize this momentum to embed a target of at least 50% electrification by 2040 in the EU's energy security framework. This is technically feasible. But more significantly, in a period defined by geopolitical uncertainty and economic fragmentation, such a target is strategically necessary to provide the continent with the stability it desperately needs.